Changing the Subject: How Managerial Attention Reallocation Obscures Bad News

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Abstract

I develop a measure of managerial attention reallocation from earnings call transcripts from 2007 to 2023. Using BERTopic, I compare the distribution of topics in each firm's management presentation with its prior communication pattern. I find that unusual attention reallocation predicts negative abnormal returns, elevated crash risk over horizons up to two years, persistently lower long-run returns, greater analyst forecast dispersion, and higher option-implied uncertainty. It also predicts real deterioration, bad-news 8-K filings increase by 9.4% in subsequent months and a rise in adverse ESG incidents. Markets and analysts do not fully incorporate the signal at the time of the call, suggesting that changes in managerial attention allocation contain information about future firm outcomes that is only partially reflected in prices.

Keywords: Information, Attention reallocation, earnings call transcripts, BERTopic
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1. Introduction

Earnings calls give investors a recurring opportunity to hear how management discusses the firm's performance, risks, and priorities. In the management-presentation portion of the call, executives have considerable discretion over which issues to emphasize and how much time to devote to them. That discretion matters because a call can retain a familiar tone and resemble prior calls overall while its mix of topics changes substantially. Such changes may contain information about the firm that conventional textual measures do not capture. This paper examines whether shifts in management's allocation of attention across topics predict subsequent market and firm outcomes.

Prior research shows that the language of corporate disclosures and news conveys useful information. Measures of sentiment and tone predict returns, analyst revisions, and future firm performance, while changes in the overall content of disclosure documents predict subsequent firm outcomes (Tetlock, 2007; Loughran and McDonald, 2011; Matsumoto et al., 2011; Mayew and Venkatachalam, 2012; Cohen et al., 2020; Bybee et al., 2024). These approaches capture what managers say, how they say it, or how much a disclosure changes overall. I study a different margin of communication: how management reallocates attention across topics relative to its own prior communication pattern. This distinction is important because management can change the weight placed on particular issues without using more negative language or producing a transcript that looks markedly different from the prior call. I measure those shifts and examine whether they reveal information about future firm outcomes.

To construct this measure, I apply BERTopic to the management-presentation sections of earnings call transcripts from 2007 to 2023. The method groups sentences that discuss similar economic issues into topics. For each firm-quarter, I calculate the share of discussion devoted to each topic and compare the resulting topic distribution with the firm's prior-quarter distribution. The distance between the two distributions is my measure of attention reallocation. A higher value indicates a larger shift in the mix of issues management chooses to discuss, distinct from changes in tone or overall transcript similarity.

I find that greater attention reallocation is followed by weaker market outcomes. A one-standard-deviation increase in the reallocation measure is associated with a

16-basis-point decline in cumulative abnormal returns over the three days surrounding the call. The effect does not end with the announcement. Firms with greater reallocation earn lower firm-specific returns over horizons from one quarter to two years and face higher crash risk, measured by more negative return skewness. The crash-risk effect is strongest in the quarter following the call and remains present at longer horizons. These results indicate that the initial market reaction does not fully reflect the information associated with changes in management's attention.

I next examine how analysts respond to calls with greater attention reallocation. Analysts revise their forecasts more often after these calls, but are less likely to issue revisions that depart markedly from the consensus. A one-standard-deviation increase in attention reallocation lowers the likelihood of a bold revision by 1.6 percentage points. At the same time, forecast dispersion and disagreement across analysts increase. Together, these results indicate that calls with greater attention reallocation are followed by a less settled analyst information environment: analysts respond to the call, but their views do not converge on a clear interpretation of its implications.

I then examine whether the information associated with attention reallocation is reflected in subsequent firm outcomes. A one-standard-deviation increase in attention reallocation predicts a 9.4% increase in bad-news 8-K filings in the 90 days following the call, after controlling for the firm's prior filing frequency. The relation persists over longer horizons and is concentrated in officer departures, contract terminations, delisting notices, and nonreliance on previously issued financial statements. Greater reallocation also predicts more adverse environmental and social incidents over the following year, as well as lower future operating performance and Tobin's Q. Taken together, these results link attention reallocation to later adverse developments within the firm, rather than to a return pattern alone.

The content of attention reallocation also shapes how investors respond. Increases in attention to risk and uncertainty are associated with negative announcement returns, but lower subsequent crash risk and higher future returns, consistent with investors responding to newly disclosed risk information. In contrast, increases in attention to corporate actions and capital structure are associated with positive announcement returns but lower subsequent returns, higher crash risk, and more bad-news 8-K filings. Thus, attention reallocation is not uniformly good or bad news; its information content depends on the issues management chooses to emphasize.

Consistent with partial incorporation, the negative announcement response to aggregate attention reallocation is stronger among firms with greater institutional ownership.

The findings remain when I compare the current topic distribution with a four-quarter average rather than the prior quarter and when I remove common industry-quarter movements in topic shares. They are also robust to controls for earnings surprises, firm characteristics, Loughran and McDonald net tone, and similarity to the prior-quarter transcript. These results indicate that attention reallocation captures information beyond conventional measures of disclosure tone and broad textual change.

I conduct several validation exercises to assess whether attention reallocation captures economically meaningful shifts in management's discussion rather than mechanical features of earnings calls. The underlying topics respond to identifiable economic events: for example, tax discussion increases after the Tax Cuts and Jobs Act, supply-chain discussion rises during the 2021 disruptions, and labor-shortage discussion increases during the post-pandemic tightening of labor markets. Topic prevalence also varies predictably across industries. Aggregate attention reallocation rises during the 2008 financial crisis and at the onset of the COVID-19 pandemic, when firms faced abrupt changes in their operating environments. Finally, placebo measures that break the firm-specific time-series sequence or randomly reassign calls across firms do not predict the outcomes studied in the paper.

This paper contributes to the growing literature that uses text to extract economically meaningful information from corporate disclosures. Existing studies measure the sentiment and tone of managerial language (Tetlock, 2007; Loughran and McDonald, 2011; Mayew and Venkatachalam, 2012; Davis et al., 2015), examine changes in the overall content of disclosure documents (Brown and Tucker, 2011; Cohen et al., 2020), or use topic models to study corporate and macroeconomic themes (Dyer et al., 2017; Hassan et al., 2019; Sautner et al., 2023; Bybee et al., 2024). Related work compares the thematic content of earnings calls with subsequent analyst reports (Huang et al., 2018) or measures topic attention divergence between the management presentation and Q&A sections of the same call (Xiao, 2024). I examine how management reallocates attention across topics relative to the firm's own prior communication pattern. This approach captures shifts in emphasis that need not be reflected in tone or broad textual similarity. It also differs from studies of disclosure choice within calls that examine whether managers answer particular analyst questions (Hollander et al., 2010; Gow et al., 2021). The measure combines contextual sentence embeddings with unsupervised topic discovery, allowing topics to be identified from the text rather than from a fixed dictionary or an ex ante topic list. I show that attention reallocation contains information beyond conventional measures of tone and broad textual change. Its implications also depend on content: reallocations toward risk and uncertainty differ from reallocations toward corporate actions and capital structure, consistent with the distinction between informative and obfuscating communication emphasized by Bushee et al. (2018).

The paper also speaks to how investors and analysts process corporate disclosure. Cohen et al. (2020) show that changes in the language and construction of firms' periodic reports contain information about future firm outcomes that is not immediately incorporated into prices. More broadly, investors may underreact to public information when processing is costly or attention is constrained (Hirshleifer et al., 2009; DellaVigna and Pollet, 2009), and information users allocate attention selectively across components of complex disclosure bundles (Cheng et al., 2026). I study this margin in the voluntary presentation portion of earnings calls. Attention reallocation is associated with a negative announcement return, but it also predicts lower subsequent returns and adverse firm outcomes. Analysts revise their forecasts more frequently after high-reallocation calls, yet are less likely to issue bold revisions and disagree more with one another. The evidence is consistent with partial, rather than complete, incorporation of the information contained in shifts in managerial attention.

The paper further contributes to the literature on stock-price crash risk. Theoretical work links crash risk to limited transparency and the accumulation of firm-specific bad news (Jin and Myers, 2006). Empirical studies have largely examined this idea using accounting-based proxies, including earnings management, tax avoidance, and managerial equity incentives (Hutton et al., 2009; Kim et al., 2011a,b). I introduce a communication-based measure derived from earnings calls and show that unusual attention reallocation predicts higher crash risk from the quarter following the call through longer horizons. This relation remains after controlling for established crash-risk determinants, including prior skewness, detrended turnover, and accruals-based opacity. Thus, shifts in management's communication provide information about future downside risk beyond that contained in reported financial variables.

Finally, I connect voluntary managerial communication to subsequent mandatory disclosures and firm outcomes. Prior research shows that voluntary disclosures and Form 8-K filings convey economically relevant information to capital-market participants (Skinner, 1994; Kasznik and Lev, 1995; Kasznik, 1999; Kothari et al., 2009; Lerman and Livnat, 2010; McMullin et al., 2019; Watkins, 2022). I find that firms with greater attention reallocation subsequently file more bad-news 8-Ks, particularly those reporting officer departures, contract terminations, delisting notices, and nonreliance on previously issued financial statements. They also experience more adverse environmental and social incidents, weaker operating performance, and lower valuations. These findings link attention reallocation to later developments within the firm, showing that the measure captures more than a return-predictive feature of earnings-call language.

The remainder of the paper is organized as follows. Section 2. presents the theoretical framework motivating my measure. Section 3. describes the BERTopic methodology and the construction of the attention reallocation variable. Section 4. describes the data and sample construction. Section 5. presents the main empirical results. Section 6. presents the mechanism behind the results. Section 7. concludes.

2. Theoretical Framework

2.1 Overview

This section presents a stylized model in which managers adjust the allocation of communicative attention across topics during earnings calls. A manager privately observes information about firm fundamentals and chooses how much emphasis to place on different topics when preparing the call. Investors observe the resulting allocation, but interpreting unusual shifts in emphasis is difficult because such shifts may arise from changes in the firm's operating environment, evolving business priorities, or the manager's private assessment of fundamentals. The allocation of communication time is a discretionary margin, so the informativeness of a call varies with the emphasis placed on topics that are more closely tied to firm fundamentals. Investors update their beliefs using this information, but benign reallocation prevents them from drawing a fully separating inference. The framework generates implications for announcement returns, subsequent downside risk, analyst uncertainty, option-implied uncertainty, and later mandatory disclosures.

2.2 Setup

Consider a firm with terminal value $V = \bar{V} + \theta + \epsilon$, where $\bar{V}$ is public information, θ is a persistent component of firm fundamentals observed privately by the manager, and ϵ is mean-zero noise realized at the terminal date. The private component θ is drawn from a distribution $F(\theta)$ with support $[\underline{\theta}, \overline{\theta}]$, where $\underline{\theta} < 0 < \overline{\theta}$.

At the earnings call, the manager allocates communication time across K topics. Let $a = (a_1, \ldots, a_K)$, $\quad a_k \geq 0, \quad \sum_{k=1}^{K} a_k = 1$, denote the attention allocation in the current call. Let $\bar{a}$ denote the firm's historical allocation across topics. The empirical measure of attention reallocation is $S = \sum_{k=1}^{K} |a_k - \bar{a}_k|$, which corresponds to the attention-reallocation measure defined in Section 3.. A larger value of S indicates a greater departure from the firm's prior communication pattern.

The manager also observes a benign topic-salience shock z. This shock captures changes in the firm's environment that naturally alter the issues discussed during a call, such as changes in regulation, input costs, supply-chain conditions, or industry demand. Thus, a high value of S need not reflect unfavorable private information. Instead, the manager's allocation is a function of both private information and topic salience: $a = a(\theta, z)$. Some topics are more informative about θ than others. The public signal generated during the call is

$$s = \theta + \eta, \qquad \eta \sim N\left(0, \frac{\sigma_\eta^2}{h(r(a))}\right),$$

Here, $r(a)$ denotes the share of the presentation devoted to topics that allow investors to learn about the firm's underlying condition, and $h(\cdot)$ is strictly increasing and concave. Greater attention to informative topics makes the public signal more precise. The model does not require that a particular empirical topic is always informative or uninformative; rather, it captures the idea that the informational content of a call depends on how management distributes attention across the issues relevant to the firm's condition.

The manager's payoff is

$$U_M = \alpha P_1 + (1 - \alpha)V - \frac{\gamma}{2}(P_1 - V)^2,$$

where P_1 is the post-call stock price, $\alpha \in (0,1)$ captures the manager's sensitivity to the contemporaneous stock price, and $\gamma > 0$ captures the expected cost of a price that later proves inconsistent with firm value. The manager therefore faces a trade-off: reducing the precision of the call can limit the immediate impact of information that would otherwise move the stock price, but it also increases the expected cost associated with the later resolution of uncertainty.

Competitive investors observe a and s, but not θ or z, and set $P_1 = \bar{V} + E[\theta \mid a, s]$. The investor-side inference problem is related to rational-attention models, in which market participants allocate limited information-processing capacity toward information that is expected to be most valuable (Kacperczyk et al., 2016). The framework does not model investors' attention-allocation decision explicitly. Instead, incomplete inference arises because investors cannot distinguish reallocations driven by private information from those driven by the unobserved topic-salience shock z.

Because the same attention allocation can arise from unfavorable private information or a benign salience shock, investors cannot perfectly infer the manager's private information from S alone. High attention reallocation can therefore be associated with a negative price response without being fully reflected in the post-call price.

Finally, adverse developments may become observable over time. Let $D \in 0, 1$ indicate the occurrence of an adverse development, such as an event that gives rise to a bad-news mandatory disclosure or an adverse operational incident, with

$$\Pr(D = 1 \mid \theta) = \lambda(\theta), \qquad \lambda'(\theta) < 0.$$

Lower values of θ are therefore associated with a higher likelihood of subsequent adverse developments. When these developments become public, they contribute to the gradual resolution of uncertainty and to the realization of terminal firm value.

2.3 Economic Implications

The model yields several implications for the empirical analysis. First, under parameter values for which managers with unfavorable private information have stronger incentives to reduce attention to informative topics, attention reallocation is negatively associated with investors' posterior beliefs about firm fundamentals. High-reallocation calls should therefore be associated with weaker announcement returns.

Second, the mapping from attention reallocation to private information is noisy because topic-salience shocks also change the allocation of discussion. Investors respond to high-reallocation calls, but their inference is incomplete. As further information arrives, firms with high attention reallocation are more likely to experience return continuation, greater downside risk, and adverse mandatory disclosures.

Third, lower signal precision makes it more difficult for analysts to form a common interpretation of the call. High-reallocation calls may therefore be followed by less decisive forecast revisions and greater disagreement across analysts. The greater uncertainty surrounding future firm outcomes can also be reflected in option-implied uncertainty.

Finally, the model does not imply that all attention reallocation is bad news. The economic implications of a shift depend on the information content of the topics receiving attention. Reallocation toward topics that clarify risks or operating conditions may help investors learn about the firm. Reallocation toward other topics may instead leave greater uncertainty about future fundamentals. This implication motivates the paper's analysis of heterogeneity across topic categories.

2.4 Discussion

The framework provides a mechanism linking the allocation of attention during earnings calls to market beliefs and later firm outcomes. Its central feature is that management can affect the precision with which investors infer information from a call without making false statements. The framework is related in spirit to research on strategic information design and disclosure choice, including Kamenica and Gentzkow (2011), but it does not model direct misreporting or a fully optimal information-design problem.

The framework should be interpreted as a stylized mechanism rather than as a test of managerial intent. The empirical analysis examines whether the predictions concerning returns, analyst disagreement, option-implied uncertainty, and subsequent firm outcomes are present in the data. It does not separately identify whether a given instance of attention reallocation reflects strategic selective emphasis or a benign change in the firm's information environment.

3. Measures for Managerial Attention Reallocation

3.1 Methodology Summary

My empirical strategy begins by constructing a high-resolution representation of managerial narratives from earnings calls. I segment each transcript into sentences and embed each sentence using a transformer-based language model (MPNet), which captures contextual meaning and semantic similarity across firms and over time. I then apply the BERTopic algorithm, which combines nonlinear dimensionality reduction, density-based clustering, and class-based TF-IDF representations, to identify coherent themes that emerge endogenously from the data. This procedure yields a rich set of economically interpretable topics, such as earnings and profitability, supply chain constraints, employee safety, acquisitions, leverage & net debt, tax issues, sustainability, and COVID-19 disruption. In a typical earnings call, managers allocate attention across approximately 40 to 60 distinct topics, reflecting the breadth of issues covered in a single call.

For each firm-quarter, I aggregate sentence-level topic assignments to construct a topic attention distribution $A_{i,t} = (A_{i,t,1}, \ldots, A_{i,t,K})$ that summarizes how the manager allocates communicative attention across topics.The main measure of attention reallocation is the L1 distance between the current distribution and the firm's own prior quarter distribution: $\mathit{Attn\ Realloc}_{i,t}^{1Q} = \sum_{k=1}^{K} |A_{i,t,k} - A_{i,t-1,k}|$. This within-firm comparison isolates the strategic component of communication from persistent cross-sectional differences in what firms discuss[1]. A high score indicates that the manager's topic allocation departed sharply from the firm's own historical pattern. I verify robustness using a four-quarter rolling average as the baseline and an industry-adjusted measure that removes common industry-wide narrative shifts. By leveraging contextual embeddings and data-driven topic discovery, the approach captures semantic nuance and evolving corporate language in a way that traditional dictionary, similarity, or LDA-based methods cannot.

3.2 Topic Modeling of Managerial Narratives

Earnings calls provide a uniquely rich window into managerial beliefs, priorities, and interpretations of the firm's operating environment. Unlike structured financial statements, the language used in these calls is flexible, forward-looking, and

[1] Xiao (2024) construct Topic Attention Divergence by comparing standardized topic-attention vectors for the management-presentation and Q&A sections of the same earnings call.

highly contextual. Managers discuss demand conditions, cost pressures, regulatory developments, supply chain disruptions, capital allocation, and a wide range of firm-specific risks. Capturing this variation requires a modeling framework capable of recognizing semantic nuance, distinguishing closely related concepts, and adapting to the evolving vocabulary of corporate communication. To meet these objectives, I construct a topic model based on transformer-based sentence embeddings and density-based clustering, implemented through the BERTopic architecture of Grootendorst (2022). This approach yields a high-resolution, economically interpretable representation of managerial attention that is comparable across firms and over time.

Sentence segmentation and preprocessing. I begin by processing each transcript using the spaCy natural language processing pipeline(Honnibal and Montani, 2017).[2] I segment transcripts into sentences and retain only the portions spoken by firm executives. I apply minimal preprocessing to preserve economically meaningful phrasing: I convert text to lowercase, remove boilerplate disclaimers and standard stopwords, and normalize punctuation. I deliberately avoid aggressive stemming or lemmatization, as these procedures can collapse economically distinct concepts—such as "pricing power" versus "price increases," or "tax regulation" versus "deferred tax assets"—into the same root form. Preserving these distinctions is essential for accurately capturing the themes managers emphasize.

Sentence embeddings. Each sentence is mapped into a dense semantic vector using the MPNet transformer model, which performs well on semantic similarity tasks and is widely used in modern text-as-data applications.[3] Let x_s denote sentence s. The embedding model implements

$$f(x_s) = z_s \in \mathbb{R}^d,$$

where z_s captures the contextual meaning of the sentence. Sentences that discuss similar economic concepts—such as regulatory scrutiny, supply chain normalization, tax planning, or capital expenditures—are positioned close to one another in this embedding space, even when firms use different terminology to describe comparable

[2] See spaCy documentation at https://spacy.io/.

[3] I use the sentence-transformer implementation of MPNet; see Song et al. (2020); Reimers and Gurevych (2019) for details.

issues. This semantic representation is critical in settings like earnings calls, where managers often describe the same underlying phenomenon using firm-specific language.

Topic discovery with BERTopic. I use BERTopic to discover topics from the sentence embeddings. BERTopic combines three components: nonlinear dimensionality reduction, density-based clustering, and class-based TF-IDF (c-TF-IDF) for topic representation.

First, the high-dimensional embeddings $\{z_s\}$ are projected into a lower-dimensional manifold using UMAP, which preserves local semantic neighborhoods while reducing noise:

$$r(z_s) = y_s \in \mathbb{R}^{d'}.$$

Second, the reduced vectors $\{y_s\}$ are clustered using HDBSCAN, a density-based algorithm that identifies coherent groups of semantically similar sentences without requiring the number of topics to be specified ex ante. Let

$$c(y_s) = g_s \in \{1, \ldots, K\} \cup \{\text{noise}\}$$

denote the cluster assignment. This procedure allows topics to emerge endogenously from the data, reflecting the actual structure of managerial communication rather than imposing a fixed set of themes.

Topic representation and labeling. For each topic k, BERTopic constructs a topic representation using a class-based TF-IDF weighting scheme. Let $tf_{k,v}$ denote the frequency of term v in sentences assigned to topic k, and let df_v denote the number of topics in which term v appears. The c-TF-IDF weight is

$$w_{k,v} \propto tf_{k,v} \cdot \log\left(\frac{K}{df_v}\right),$$

normalized within topic k. This weighting scheme highlights terms that are distinctive to each topic, yielding sparse, interpretable representations. I manually review the highest-weighted unigrams, bigrams, and trigrams and assign concise, economically meaningful labels (e.g., “Demand Conditions,” “Cost Pressures,” “Tax Planning,” “Regulatory Environment,” “Supply Chain Constraints”). This step ensures that the resulting topics align with constructs commonly analyzed in corporate finance and asset pricing.

Firm-quarter topic distributions. I aggregate sentence-level topic assignments to construct a topic distribution for each firm-quarter. Let $n_{i,t,k}$ denote the number of sentences in firm i's call in quarter t assigned to topic k. The topic attention vector is

$$A_{i,t,k} = \frac{n_{i,t,k}}{\sum_{j=1}^{K} n_{i,t,j}},$$

with $\sum_{k=1}^{K} A_{i,t,k} = 1$. These distributions form the basis for all subsequent measures of managerial attention reallocation.

Contrast with dictionary, similarity, and LDA approaches. A large literature in empirical finance has demonstrated the value of text based measures constructed from corporate disclosures, news, and regulatory filings. Early approaches relied on dictionary methods, in which researchers classify words into pre specified economic categories and compute document level frequencies. These methods have been used to measure sentiment, risk, and disclosure tone in settings such as annual reports, MD&A sections, and earnings announcements. The approach builds on, but differs fundamentally from, the dictionary-based, similarity-based, and LDA-based methods widely used in empirical finance. Dictionary methods provide transparency and interpretability, but they require researchers to pre-specify the vocabulary of interest. As corporate language evolves, fixed dictionaries struggle to capture new terminology, contextual nuance, and semantic drift. This limitation is particularly acute in earnings calls, where managers discuss complex topics such as tax regulation, deferred tax assets, supply chain bottlenecks, or regulatory headwinds using firm-specific phrasing that may not appear in any pre-defined dictionary.

Similarity-based approaches, such as those in Cohen et al. (2020) and the MD&A modification literature, quantify how much a document changes relative to prior filings. These methods are powerful in detecting disclosure changes, but they do not identify *what* managers are discussing or how attention is allocated across themes.

Similarity is inherently unidimensional: it measures distance, not content.

Latent Dirichlet Allocation (LDA)-based topic models, such as those used in Bybee et al. (2024), represent documents as mixtures of latent topics and have been influential in macro-finance applications. However, LDA relies on a bag-of-words representation, which discards word order and contextual meaning. As a result, LDA struggles to distinguish between economically distinct concepts that share vocabulary (e.g., "tax regulation" vs. "deferred tax assets") and words that conveyed meaning through multi word expressions ("pricing power," "supply chain normalization," "regulatory headwinds"). This makes LDA struggle to group together conceptually similar sentences that use different terminology. LDA also requires researchers to fix the number of topics ex ante, which limits its ability to adapt to the evolving structure of managerial communication. Supervised classification approaches, such as those using fine-tuned BERT models (Harford et al., 2026), address some of these limitations by leveraging contextual embeddings, but it require manual labeling of a training corpus and the construction of a keyword filter to identify candidate sentences before classification. The performance of such approaches depends on the quality of the keywords for all the topics in the document and representativeness of the labeled training data.

In contrast, BERTopic leverages transformer-based embeddings that encode contextual meaning, allowing it to differentiate between nuanced economic concepts and to recognize when managers discuss the same underlying issue using different language. Its density-based clustering identifies topics endogenously, and its c-TF-IDF representation yields sparse, interpretable topic summaries. This architecture is particularly well-suited for earnings calls, where managers often discuss multiple, overlapping themes whose economic implications depend on context. For example, discussions of "taxes" may refer to regulatory changes, deferred tax assets, international tax arbitrage, or the impact of tax credits on capital expenditures—concepts that dictionary or LDA approaches cannot reliably distinguish.

By capturing semantic nuance, contextual variation, and topic evolution, BERTopic provides a richer and more accurate representation of managerial attention than traditional dictionary, similarity, or LDA approaches. This makes BERTopic the appropriate tool for measuring how managers allocate attention across themes and how these allocations evolve in response to firm-level and industry-level developments.

Insert Table 1

Table 1 illustrates the output of this procedure for 20 representative topics and example sentences. The topics span a range of economically relevant themes, including financial performance (Earnings & Adjusted Results, Margins & Profitability, EBITDA & Turnaround), corporate strategy (Acquisitions & M&A, Synergies & Deal Rationale, Capital Expenditures), risk factors (Leverage & Net Debt, FX & Currency Translation, Supply Chain Constraints), stakeholder and regulatory considerations (Sustainability & Climate, Customer Experience & Proposition, Cost Savings & Efficiency), and external shocks (COVID-19 Disruption). The example sentences confirm that the model groups semantically related content even when firms use different terminology to describe similar issues. For instance, the Supply Chain Constraints topic captures sentences referencing product availability problems, interrupted supply chains, and organizational capacity to manage growth, all of which pertain to the same underlying operational concern despite varying phrasing across firms. The model identifies 1,074 topics in the entire corpus. Figure 1 provides a semantic map of the topics discussed in the earnings call. The visualization highlights how topics naturally cluster into coherent thematic regions, revealing the conceptual domains across which managers allocate attention.

3.3 Construction of Attention Reallocation Measures

A central premise of this paper is that managers allocate their limited communicative bandwidth across a set of strategic topics, and that meaningful shifts in this allocation reflect changes in the firm's information set, priorities, or risk exposures. To capture these shifts, I construct a measure of attention surprise, defined as the deviation of the current quarter's topic distribution from the firm's own historical pattern. The intuition is straightforward: managers typically exhibit stable attention profiles, revisiting similar themes quarter after quarter as they update investors on ongoing initiatives, operational performance, and strategic direction. When a firm's topic distribution departs sharply from this baseline, it signals that management is responding to new developments or reinterpreting existing information in a way that alters the narrative they present to the market. Formally, I compute attention surprise as the distance between the current topic vector and a benchmark constructed from the firm's past disclosures.

Let $A_{i,t} = (A_{i,t,1}, \ldots, A_{i,t,K})$ denote the topic attention vector for firm i in quarter t, where $A_{i,t,k}$ is the share of managerial attention allocated to topic k and $\sum_{k=1}^{K} A_{i,t,k} = 1$. I define two firm-specific benchmarks. The short-run benchmark is the topic distribution for the previous quarter, which captures abrupt changes in managerial emphasis.

$$B_{i,t}^{SR} = A_{i,t-1},$$

and the long-run benchmark is the trailing four-quarter average, which captures persistent departures from the firm's typical communication pattern.

$$B_{i,t}^{LR} = \frac{1}{4} \sum_{s=t-4}^{t-1} A_{i,s}.$$

The short-run attention reallocation is defined as the L1 distances between the current topic vector and the short-run benchmark:

$$AttnRealloc_t^{1Q} = \sum_{k=1}^{K} \left| A_{i,t,k} - B_{i,t,k}^{SR} \right| = \sum_{k=1}^{K} \left| A_{i,t,k} - A_{i,t-1,k} \right|. \tag{1}$$

Similarly, the long-run attention reallocation is:

$$AttnRealloc_t^{4Q} = \sum_{k=1}^{K} \left| A_{i,t,k} - B_{i,t,k}^{LR} \right| = \sum_{k=1}^{K} \left| A_{i,t,k} - \frac{1}{4} \sum_{s=t-4}^{t-1} A_{i,s,k} \right|. \tag{2}$$

As shown from the equations 1 and 2, I considered two horizons. The first (equations 1) is a short run measure that compares the current quarter to the immediately preceding quarter, capturing abrupt shifts in emphasis. The second (equations 2) is a long run measure that compares the current quarter to the trailing four quarter average, capturing more persistent departures from the firm's typical communication pattern. These measures allow us to distinguish between incremental updates and substantive narrative changes, and they provide a continuous, interpretable metric of how surprising a firm's communication is relative to its own historical narrative.

3.4 Validation of the Managerial Attention Reallocation Measure

I validate the attention reallocation measure along several dimensions before turning to the main empirical results. The goal is to establish that the measure captures meaningful shifts in managerial focus rather than mechanical features of earnings calls or artifacts of the topic model.

Face Validity. I begin by examining whether the underlying topics respond to well known events. For each of the topics that represent major themes in managerial communication, I compute quarterly average topic shares and study their evolution over time. The topics include tax reform, supply chain disruptions, cybersecurity incidents, labor market conditions, inflation, regulation, and energy markets. Each topic displays clear time series patterns that align with the timing of major events. The tax topic rises around the Tax Cuts and Jobs Act period, the COVID topic increases during 2020, the cybersecurity topic shows elevated prevalence around major breach events, and the inflation topics increase during the post pandemic inflation period. These patterns appear across firms and industries and indicate that the topic model identifies economically meaningful themes. Figure 4 plots mean quarterly topic shares for 12 topics and associate it with major economic or policy events.

I next examine cross sectional variation in topic prevalence within industries. Topics that are naturally tied to specific sectors show higher shares in those industries. For example Energy topics are concentrated in oil and gas firms, supply chain topics are more prevalent in manufacturing and retail, and labor shortage topics are more common in service industries. This cross sectional structure supports the interpretation that the topics capture real differences in firm environments. Again, I assess the coherence of the topics using representative sentences and word clouds. The examples in Table1 show that the topics are distinct and capture interpretable concepts. The model separates boilerplate language from substantive managerial discussion and assigns sentences to topics in a manner consistent with economic intuition. Figures 2 and 3 further reinforce this coherence by showing that managerial attention is systematically distributed across economically meaningful domains and that the largest micro-topics align with intuitive sub-themes. Together, these patterns confirm that the model captures an interpretable hierarchy of managerial attention.

Convergent Validity. I examine the correlation between the attention reallocation measure and other observable features of earnings calls. The measure is weakly correlated with call length, the number of analysts, and the number of topics discussed. I also compare the measure with other text-based variables, including tone and cosine similarity to the prior call. Attention reallocation is essentially uncorrelated with net tone, but is negatively correlated with cosine similarity ($\rho = -0.497$). This relation is expected because a larger redistribution of attention across topics should make the current call less similar to the prior call. However, the two measures are not interchangeable. Their squared correlation is approximately 0.247, implying that roughly three-quarters of the variation in attention reallocation is not shared with cosine similarity. Moreover, attention reallocation continues to predict the outcomes studied in the paper after controlling for these alternative text-based measures. The correlation matrix are reported in Appendix Tables B7.

To further establish that the results are not driven by these alternative textual characteristics, I residualize *Attn Realloc*^{1Q} with respect to net tone, cosine similarity to the prior call, and the call length. The residualized attention reallocation measure continues to predict announcement returns, subsequent crash risk, long-run returns, and future bad-news 8-K filings. The results are also unchanged when I use number of topics in place of the call length in the residualizatiion. Together, these findings indicate that attention reallocation captures a distinct dimension of managerial communication rather than mechanical differences in call structure or other text-based features of the call. The residualized-measure tests are reported in Appendix Tables B8.

In addition, I examine the association of the attention reallocation measure(*Attn Realloc*^{1Q}) with other firm fundamentals. I regress the reallocation measure on a broad set of firm characteristics while absorbing firm and year quarter fixed effects. The results show that reallocation is higher for firms with more volatile operating environments and lower for firms with stable fundamentals. Firms with greater segment diversification, higher leverage, and higher return volatility exhibit larger attention shifts, while firms with stronger profitability, higher Tobins q, and higher investment intensity exhibit smaller shifts. Reallocation is not strongly related to call breadth, as measured by the number of topics discussed, and is not driven by research and development intensity or institutional ownership. These patterns indicate that the measure varies systematically with the economic conditions facing the firm. The estimates are reported in the Appendix B6.

Placebo Validation. I further evaluate whether the measure reflects genuine managerial behavior rather than statistical artifacts by constructing two placebo versions of the measure. The first placebo randomly permutes the order of transcripts within each firm and recomputes attention reallocation relative to the preceding call in the randomized sequence. This preserves firm identity and transcript content while destroying the actual time-series sequence of managerial communication. The sequence placebo does not reproduce the systematic relations between attention reallocation and the outcomes documented in the paper. The second placebo randomly assigns transcripts to firms within the same quarter and recomputes attention reallocation relative to the preceding call. This preserves quarter-level conditions while destroying both firm identity and firm-specific time-series structure. The random-firm placebo is unrelated to announcement returns, subsequent crash risk, long-run returns, and bad-news 8-K filings across the horizons examined. Together, these placebo tests indicate that the explanatory content of attention reallocation arises from genuine within-firm changes in managerial attention rather than mechanical quarter-level variation or common shocks. Table B9 reports the results.

4. Data

4.1 Earnings Conference Call Data

I collect earnings conference call transcripts from Capital IQ covering the period 2007 through 2023. The dataset provides the company name, company identifier, call date, full transcript text, and section labels that identify whether each portion of the transcript corresponds to a prepared remark, an analyst question, an executive response, or a moderator comment. I use these labels to exclude moderator comments and other procedural content before preprocessing and training the model.

Earnings calls are among the most important recurring corporate disclosure events, in which financial analysts listen to management presentations and ask questions about developments material to the firm (Hollander et al., 2010). Prior work establishes that these calls convey valuable information beyond what is available in financial statements, including forward-looking assessments of firm strategy, risk exposures, and operational priorities (Frankel et al., 1999; Li et al., 2021; Garcia et al., 2023; Sautner et al., 2023). The primary purpose of these calls is to review the firm's recent performance while also providing forward-looking commentary that reflects management's assessment of the firm's current state and future direction. A key advantage of earnings calls for this purposes is that managers make active choices about which topics to emphasize each quarter, producing a revealed distribution of attention across themes that can be compared to the manager's own historical baseline. This within-manager variation in topic allocation is not available from structured filings, where the format and content categories are largely prescribed by regulation.

I use the transcripts to construct a time-varying measure of managerial attention reallocation at the firm-quarter level. My primary measure is based on the prepared remarks section delivered by executives, where the manager has full discretion over which topics to emphasize. This section reflects the manager's ex ante communication choices, uninfluenced by analyst questioning. As a complementary analysis, I also construct the measure using executive responses during the question-and-answer section, and the results are consistent across both specifications.

Insert Figure 5

Figure 5 plots the quarterly cross-sectional mean of the two attention reallocation measures from 2007 through 2023. Both measures spike during the 2007–2008 financial crisis and again during the onset of the COVID-19 pandemic in early 2020, consistent with managers shifting their communication to address new and unfamiliar developments during periods of aggregate uncertainty. Outside of these episodes, the measures are relatively stable, with a gradual upward trend over the sample period. The 1Q baseline measure is consistently above the 4Q baseline measure, as expected: quarter-to-quarter shifts in attention are larger than deviations from a four-quarter rolling average because the longer baseline smooths transitory variation. The co-movement between the two measures is high, providing assurance that both capture the same underlying variation in managerial communication behavior.

Insert Figure 6

Figure 6 disaggregates the time series by Fama-French 12 industry groups. The crisis and pandemic spikes are present across all industries, indicating that these episodes produced economy-wide shifts in managerial communication rather than being concentrated in particular sectors. At the same time, there is meaningful cross-industry variation in the level of attention reallocation: Energy and Manufacturing firms exhibit higher average reallocation than Nondurables and Wholesale/Retail firms, consistent with industries facing more volatile operating environments requiring more frequent narrative adjustment. Figure 7 presents the cross-sectional density of the two measures. Both distributions are approximately symmetric and unimodal, with the 4Q baseline measure exhibiting a tighter distribution reflecting the smoothing effect of the longer baseline. The right tail of both distributions contains the high-reallocation observations that are central to the empirical analysis.

Insert Figure 7

4.2 Analyst Forecast Data

I obtain individual analyst forecasts and consensus statistics from the I/B/E/S detail and summary files. I restrict the sample to earnings per share forecasts, exclude observations with absolute forecast values or actuals exceeding 25 following Livnat and Mendenhall (2006), drop duplicate records, and require non-missing forecast values following standard procedures in Diether et al. (2002). From the detail file, I construct analyst-level forecast revisions, forecast errors, and a measure of forecast boldness following Clement and Tse (2005) and Hong and Kubik (2003). From the summary file, I obtain consensus forecast dispersion and analyst coverage. I link forecasts to earnings calls using a bridge file mapping I/B/E/S tickers to transcript identifiers and call dates, and construct pre-call and post-call windows by matching each forecast to the nearest call within specified horizons. The primary post-call window is [0, 10] trading days, with alternative [0, 5] windows used in robustness tests.

4.3 Options Data

I obtain implied volatility data from the OptionMetrics IvyDB volatility surface file for the period 2006 through 2024. I extract standardized implied volatilities for 30-day, 50-delta call options and apply standard filters: I require positive implied volatility below 200 percent, positive implied premium, and dispersion below 10 percent, consistent with conventions in the options literature (Xing et al., 2010; Cremers and Weinbaum, 2010; An et al., 2014). I link options data to earnings calls using CRSP permno identifiers and a trading day calendar. For each call, I construct pre-call implied volatility (PCIV) as the average implied volatility over trading days

-5 to -1, and implied volatility jump (IVJUMP) as the change in implied volatility from trading day -1 to trading day $+1$ (Pan, 2002). I also construct abnormal pre-call implied volatility by subtracting the firm's historical average implied volatility computed over trading days -65 to -6. To capture the persistence of options market responses, I compute one-quarter-ahead lead values of PCIV and IVJUMP by matching each firm-quarter to its subsequent quarter.

4.4 Mandatory Disclosure Data

I collect all Form 8-K and 8-K/A filings from the SEC's EDGAR database for firms in my sample over the period 2003 through 2024. I obtain filing dates and item codes through the EDGAR submissions API and classify filings as bad news based on their item content. Following the item classification in Lerman and Livnat (2010) and McMullin et al. (2019), I identify bad news items as those reporting termination of a material agreement (Item 1.02), bankruptcy or receivership (Item 1.03), triggering events affecting debt (Item 2.04), exit or disposal costs (Item 2.05), material impairments (Item 2.06), notice of delisting (Item 3.01), auditor changes (Item 4.01), nonreliance on previously issued financial statements (Item 4.02), departure of directors or officers (Item 5.02), and suspension of trading in benefit plans (Item 5.04). For each earnings call, I count the number of bad news 8-K filings within forward windows of 90, 180, 365, and 730 days, as well as backward windows for use in placebo tests (Carter and Soo, 1999; Kothari et al., 2009; Watkins, 2022). The results hold using total 8-K filing counts and when examining individual item categories separately.

4.5 RepRisk Data

I obtain data on adverse environmental, social and governance (ESG) incidents that occur within the firm from RepRisk, which screens media, regulatory, and commercial documents across more than 150,000 public sources in over 20 languages to identify firm-level ESG risk events (Berg et al., 2022; Gantchev et al., 2022). RepRisk categorizes each incident by severity (high, medium, or low) and reach (the breadth of media coverage), and eliminates duplicate reports when a single event is covered by multiple sources. A key advantage of RepRisk for this purposes is that it captures adverse incidents from external sources rather than firm self-disclosures, reducing concerns about reporting bias. For each earnings call, I measure the total number of adverse incidents, their average severity, and their average reach within forward windows of 3, 6, and 12 months. These measures allow us to test whether managerial attention reallocation predicts subsequent real operational and reputational deterioration beyond what is captured by mandatory filings.

4.6 Financial Statement Data

I obtain firm-level accounting data from Compustat Fundamentals Quarterly and Annual files, including total assets, book-to-market ratio, cash holdings, leverage, capital expenditures, return on assets, Tobin's q, R&D expenditures, and investment. Stock return data, share prices, trading volume, and shares outstanding are from the Center for Research in Security Prices (CRSP). I use CRSP daily returns to compute cumulative abnormal returns around earnings calls using a market model estimated over trading days -255 to -46. I compute crash risk measures following Kim et al. (2011a): firm-specific weekly returns are obtained as the residuals from a market model with two leads and two lags of market returns to account for nonsynchronous trading (Dimson, 1979; Kim et al., 2011a), and negative return skewness (NCSKEW) and down-to-up volatility (DUVOL) are computed over forward windows of 3, 6, 12, and 24 months following each earnings call. I also compute detrended turnover (DTURN) and earnings opacity (ACCM) as standard crash risk controls following Kim et al. (2011a) and Hutton et al. (2009).

I obtain institutional ownership data from the Thomson Reuters S-34 database of 13F filings. Business segment concentration is measured using a Herfindahl index constructed from Compustat segment data. I control for firm complexity using the measure developed by Loughran and McDonald (2024). All continuous control variables are winsorized at the 1st and 99th percentiles.

4.7 Descriptive Statistics

Table 2 reports summary statistics for the main variables used in the analysis. The sample consists of 4,332 unique firms and 131,379 firm-quarter observations from 2007 through 2023. Observation counts vary across panels due to differences in data availability; in particular, the analyst variables in Panel E require matched I/B/E/S data within the post-call window, and the options variables in Panel D require OptionMetrics coverage.

Insert Table 2

Panel A reports the distribution of the attention reallocation measures. $Attn\ Realloc_t^{1Q}$, which measures the total shift in the distribution of managerial attention across topics relative to the prior quarter, has a mean of 1.203 and a standard deviation of 0.322. The four-quarter benchmark measure, $Attn\ Realloc_t^{4Q}$, has a lower mean of 1.137 and a standard deviation of 0.237, as expected given that averaging over four quarters smooths transitory variation in the baseline. The interquartile ranges of 0.49 and 0.29 indicate that there is considerable variation across firm-quarters in the degree to which managers shift their topic emphasis from one call to the next.

Panel B reports cumulative abnormal returns around earnings calls. The mean $CAR(-1,+1)$ is close to zero with a standard deviation of 8.8 percent, consistent with standard properties of abnormal returns around earnings announcements. Panel C reports crash risk measures over forward horizons of 1 to 8 quarters. Mean $NCSKEW$ is positive across all horizons, ranging from 0.071 at one quarter to 0.087 at eight quarters, and the standard deviation declines with the horizon from 1.243 to 0.938. Mean firm-specific weekly returns are slightly negative across all horizons.

Panel D reports options market variables. $Abn\ PCIV_t$ averages 2.6 percentage points above the firm's historical baseline, consistent with the typical elevation in implied volatility before earnings announcements. $IV\ JUMP_t$ averages -5.0 percentage points, reflecting the well-documented decline in implied volatility once earnings uncertainty is resolved. Panel E reports analyst behavior variables, including forecast boldness (mean 0.487), dispersion (mean 0.193), and revision intensity (mean 0.743).

Panels F and G report bad-news mandatory disclosures and adverse ES incidents. The average firm has 0.73 bad-news 8-K filings in the 90 days following an earnings call and 3.02 over the following year. Among individual item categories, director and officer departures are the most frequent (mean 2.60 per year), while nonreliance on prior financial statements (mean 0.015) and material impairments (mean 0.031) are rare. Adverse ES incidents average 0.77 over 12 months, and the median is zero across all horizons, reflecting the concentration of incidents among a subset of firms. Panel H reports subsequent operating performance and Panel I reports firm-level control variables. The distributions of all controls are consistent with those reported in comparable samples in the literature.

5. Empirical Results

This section presents the main empirical findings. I begin with the relationship between managerial attention reallocation and announcement returns, then examine crash risk, analyst behavior, options market pricing, mandatory disclosures, and adverse ES incidents. Each set of results corresponds to a proposition from the theoretical framework in Section II.

5.1 Attention Reallocation and Announcement Returns

I first test Proposition 1, which predicts that attention reallocation is negatively associated with abnormal returns around the earnings call. I estimate the following specification:

$$CAR_{i,t}(w_1, w_2) = \alpha + \beta \, \mathit{Attn\ Realloc}^{1Q}_{i,t} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \tag{3}$$

where $CAR_{i,t}(w_1, w_2)$ is the cumulative abnormal return for firm i over the window (w_1, w_2) around the earnings call in quarter t, computed using a market model estimated over trading days -255 to -46. $\mathit{Attn\ Realloc}^{1Q}_{i,t}$ is my measure of managerial attention reallocation, defined as the total shift in the topic attention distribution relative to the prior quarter. $X_{i,t-1}$ is a vector of lagged firm-level controls including firm size, prior year return, standardized unexpected earnings, investment, leverage, Tobin's q, book-to-market, R&D expenditures, firm complexity, institutional ownership, business segment concentration, pre-call realized volatility, and pre-call illiquidity. All specifications include firm fixed effects (μ_i) and year-quarter fixed effects (δ_t). Standard errors are clustered at the firm level.

Insert Table 3

Table 3 reports the results. Across all announcement windows, the coefficient on $\mathit{Attn\ Realloc}^{1Q}$ is negative and statistically significant at the 1% level. In column (1), a one standard deviation increase in attention reallocation is associated with a 0.16 percentage point decline in $CAR(-1, +1)$ ($\beta = -0.005$, $t = -4.57$). The estimate is stable across wider announcement windows: the coefficient ranges from -0.005 to -0.006 for $CAR(-1, +2)$, $CAR(-1, +3)$, $CAR(-2, +2)$, and $CAR(0, +1)$, with t-statistics between -4.22 and -4.57. Column (6) extends the horizon to the post-earnings announcement drift window, $CAR(+2, +60)$. The coefficient remains negative and significant ($\beta = -0.006$, $t = -2.24$), indicating that the market does not fully incorporate the information in attention reallocation at the time of the call. The persistence of the return effect beyond the announcement window is consistent with Proposition 2 and with the model's prediction that investors underreact to the reallocation signal due to the signal extraction problem created by benign reallocation.

The economic magnitude is meaningful in the context of earnings announcement returns. The standard deviation of *Attn Realloc*^{1Q} is 0.322, so a one standard deviation increase corresponds to approximately $0.322 \times 0.005 = 0.16$ percentage points of $CAR(-1, +1)$. Relative to the unconditional standard deviation of $CAR(-1, +1)$ of 8.8 percent, this represents a modest but statistically reliable effect. The stability of the coefficient across windows of different lengths suggests that the result is not driven by microstructure effects or bid-ask bounce concentrated on a single day.

Among the control variables, the coefficients are consistent with the existing literature. Firm size enters positively, prior year return enters negatively consistent with short-term reversal, standardized unexpected earnings enters positively, and Tobin's q and book-to-market enter negatively.

5.2 Attention Reallocation and Crash Risk

I next test Proposition 2, which predicts that crash risk increases with attention reallocation and that the association is present across multiple horizons, consistent with gradual revelation of concealed bad news. I estimate:

$$NCSKEW_{i,t+h} = \alpha + \beta\, \mathit{Attn\ Realloc}_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \qquad (4)$$

where $NCSKEW_{i,t+h}$ is the negative coefficient of skewness of firm-specific weekly returns over the forward window of horizon $h \in \{1Q, 2Q, 4Q, 8Q\}$ following the earnings call, computed following Kim et al. (2011a). The control vector $X_{i,t-1}$ includes the standard crash risk determinants: detrended turnover, lagged $NCSKEW$, lagged return volatility, and lagged mean firm-specific return, as well as firm size, prior year return, institutional ownership, ROA, standardized unexpected earnings, book-to-market, segment concentration, earnings opacity, investment, leverage, Tobin's q, R&D, and firm complexity. All specifications include firm and year-quarter fixed effects, with standard errors clustered at the firm level.

Insert Table 4

Table 4, Panel A reports the results. The coefficient on *Attn Realloc*^{1Q} is positive and statistically significant across all four horizons. At the one-quarter horizon, a one standard deviation increase in attention reallocation is associated with a 0.014 standard deviation increase in $NCSKEW$ ($\beta = 0.042$, $t = 3.31$). The coefficient declines monotonically with the horizon: 0.032 ($t = 2.58$) at two quarters, 0.029 ($t = 2.42$) at four quarters, and 0.022 ($t = 1.87$) at eight quarters. This pattern is consistent with the theoretical prediction. The model implies that concealed bad news surfaces gradually through mandatory disclosures, adverse incidents, and other information events. The strongest effect at the shortest horizon reflects the period in which revelation is most concentrated, while the persistence of the effect at two years indicates that some concealed information takes longer to surface.

The declining but persistent coefficient profile distinguishes attention reallocation from transitory information shocks, which would produce a concentrated effect at one horizon that disappears at longer horizons. Instead, the monotonic decline is consistent with a stock of concealed information that is progressively revealed over time, as modeled by the mandatory revelation probability $\lambda(\theta)$ in Section II.

Among the crash risk controls, lagged $NCSKEW$ enters negatively, consistent with mean reversion in skewness. Lagged mean firm-specific return enters with a large positive coefficient, consistent with the finding in Chen et al. (2001) that firms with higher past returns are more prone to subsequent crashes. Prior return volatility is positively associated with crash risk at shorter horizons. These patterns are consistent with the prior literature and indicate that the attention reallocation measure predicts crash risk after absorbing the standard determinants.

Panel B examines whether attention reallocation predicts lower long-run returns, providing a complementary test of the model's prediction that high-reallocation firms are overpriced at the time of the call. The dependent variable is the size adjusted buy and hold return over the same forward windows. The coefficient on *Attn Realloc*^{1Q} is negative and statistically significant across all four horizons: -0.007 ($t = -3.45$) at one quarter, -0.011 ($t = -3.31$) at two quarters, -0.015 ($t = -2.72$) at four quarters, and -0.020 ($t = -1.88$) at eight quarters. These results confirm that firms whose managers reallocate attention more aggressively earn persistently lower returns for up to two years after the call. The combination of elevated crash risk and lower buy and hold returns is consistent with the model's prediction that attention reallocation conceals negative information that is eventually impounded in prices through asymmetric downside corrections.

5.3 Attention Reallocation and Analyst Behavior

I next test Proposition 3, which predicts that high-reallocation calls degrade the analyst information environment, producing lower forecast boldness, greater disagreement, and higher revision intensity. I estimate:

$$Y_{i,t} = \alpha + \beta\, \mathit{Attn\ Realloc}^{1Q}_{i,t} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \tag{5}$$

where $Y_{i,t}$ is an analyst behavior outcome measured within the 10-day window following the earnings call. I examine six outcomes organized in three groups. The first group captures analyst activity: revision intensity (the fraction of analysts who revise within the window) and forecast boldness (following Clement and Tse, 2005, whether the analyst's revision magnitude exceeds the median peer revision). The second group captures the information environment: forecast dispersion (the cross-sectional standard deviation of outstanding forecasts, following Diether et al., 2002) and analyst disagreement (the mean absolute deviation of individual forecasts from the consensus). The third group captures earnings outcomes in the subsequent quarter: standardized unexpected earnings scaled by price (following Livnat and Mendenhall, 2006) and consensus forecast dispersion scaled by price. The control vector $X_{i,t-1}$ includes lagged firm characteristics. All specifications include firm and year-quarter fixed effects, with standard errors clustered at the firm level.

Insert Table 5

Table 5 reports the results. The coefficient on $\mathit{Attn\ Realloc}^{1Q}$ is statistically significant across all six outcomes, and the pattern across columns is consistent with the theoretical prediction that attention reallocation degrades the quality of the information available to analysts.

Columns (1) and (2) examine analyst activity. Revision intensity increases with attention reallocation ($\beta = 0.044$, $t = 2.98$), indicating that analysts revise their forecasts more frequently after high-reallocation calls. At the same time, forecast boldness declines ($\beta = -0.049$, $t = -7.76$): analysts revise more often but with less independent judgment, shading their revisions toward the consensus rather than staking out distinctive positions. This combination is consistent with the model's prediction. When signal precision is low because the manager has redirected attention to uninformative topics, each analyst's posterior is more diffuse, and the career cost of deviating from consensus rises relative to the informational benefit of expressing a private view.

Columns (3) and (4) examine the information environment. Forecast dispersion increases ($\beta = 0.020$, $t = 2.67$), as does analyst disagreement ($\beta = 0.011$, $t = 2.13$). The widening of cross-analyst disagreement following high-reallocation calls indicates that different analysts draw different inferences from the same call, consistent with a noisy signal environment in which the manager has not provided clear guidance on the dimension that matters.

Columns (5) and (6) examine earnings outcomes. Standardized unexpected earnings in the subsequent quarter are negatively associated with attention reallocation ($\beta = -0.001$, $t = -2.48$), indicating that firms whose managers reallocate attention more aggressively deliver worse earnings surprises in the following quarter. Consensus dispersion scaled by price is marginally positively associated with reallocation ($\beta = 0.000$, $t = 1.85$). Together, the earnings outcome results indicate that the uncertainty created by high-reallocation calls is not resolved by the next earnings announcement; instead, the news that arrives tends to be negative, consistent with the concealment interpretation.

The joint pattern across all six columns is important. If attention reallocation simply reflected benign shifts in business emphasis with no informational consequences, I would expect analysts to process the call normally, with no systematic change in boldness, dispersion, or subsequent forecast accuracy. Instead, the simultaneous increase in revision intensity, decline in boldness, widening of dispersion, and deterioration in subsequent earnings surprises points to genuine information degradation created by the manager's communication choices.

5.4 Attention Reallocation and Options Market Pricing

I next test Proposition 4, which predicts that implied volatility jump risk increases with attention reallocation as options traders price the elevated left-tail risk associated with concealed bad news. I estimate:

$$Y_{i,t} = \alpha + \beta\, Attn\ Realloc_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \tag{6}$$

where $Y_{i,t}$ is an options market outcome. I examine three variables. Abnormal pre-call implied volatility ($Abn\ PCIV_t$) measures whether the options market anticipates elevated uncertainty before the call. The implied volatility jump ($IV\ JUMP_t$) captures the change in implied volatility from trading day -1 to trading day $+1$ around the call, reflecting how options prices adjust to the information revealed during the call. The lead implied volatility jump ($IV\ JUMP_{t+1}$) tests whether the options market response persists into the following quarter. All implied volatilities are from the OptionMetrics volatility surface for 30-day, 50-delta call options.

Insert Table 6

Table 6 reports the results. Column (1) shows that abnormal pre-call implied volatility is negatively associated with attention reallocation ($\beta = -0.030$, $t = -11.82$). This result indicates that high-reallocation calls are not preceded by elevated implied volatility; if anything, the options market assigns lower pre-call uncertainty to firms that will subsequently reallocate attention, suggesting that the reallocation signal is not anticipated by options traders before the call.

Column (2) provides the central result for the options market analysis. The implied volatility jump is positively and significantly associated with attention reallocation ($\beta = 0.036$, $t = 15.74$). Because the average IVJUMP in the sample is negative (implied volatility typically declines after earnings calls as uncertainty resolves), a positive coefficient means that high-reallocation calls produce a smaller decline in implied volatility, or equivalently, that options traders revise upward their assessment of future uncertainty after observing a high-reallocation call. This is consistent with the model's prediction: the concealed information embedded in the attention reallocation signal implies elevated left-tail risk that is not resolved by the call itself, and options traders price this residual uncertainty through higher post-call implied volatility relative to what would be expected if the call had resolved the prevailing uncertainty.

Column (3) shows that the effect persists into the following quarter. The lead implied volatility jump is positively associated with attention reallocation ($\beta = 0.002$, $t = 2.05$), indicating that the elevated uncertainty is not fully resolved within the current quarter. The smaller magnitude relative to column (2) is consistent with gradual information revelation: some of the concealed information surfaces between the two calls, partially resolving the uncertainty, but a residual effect remains.

The combination of results across the three columns tells a coherent story. The options market does not anticipate the reallocation signal before the call (column 1), adjusts upward its assessment of future risk after observing the call (column 2), and maintains an elevated risk assessment into the following quarter (column 3). This pattern is consistent with Proposition 4 and complements the crash risk findings in Table 4: the same concealed information that produces elevated negative return skewness over subsequent quarters also produces elevated implied volatility as options traders price the left-tail risk in real time.

5.5 Attention Reallocation and Mandatory Disclosures

I next test Proposition 5, which predicts that attention reallocation is followed by a higher probability and greater intensity of bad-news mandatory disclosures. I estimate a Poisson pseudo-maximum likelihood (PPML) model with high-dimensional fixed effects:

$$E\left[\textit{Bad News 8K}_{i,t+h} \,|\, X\right] = \exp\left(\alpha + \beta\, \textit{Attn Realloc}^{1Q}_{i,t} + \gamma' X_{i,t-1} + \mu_i + \delta_t\right) \tag{7}$$

where $\textit{Bad News 8K}_{i,t+h}$ is the count of bad-news 8-K filings for firm i within horizon $h \in \{90d, 180d, 1Y, 2Y\}$ following the earnings call. Bad-news items are classified following Lerman and Livnat (2010) and include officer departures, contract terminations, delisting notices, nonreliance on prior financial statements, material impairments, and related items. The control vector includes the lagged count of bad-news 8-K filings (to control for the firm's baseline filing propensity), along with the standard set of firm characteristics. All specifications include firm and year-quarter fixed effects, with standard errors clustered at the firm level.

Insert Table 7

Table 7, Panel A reports the results. Attention reallocation predicts a significant increase in bad-news 8-K filings across all four horizons. At the 90-day horizon, a one standard deviation increase in attention reallocation is associated with a 9.4 percent increase in the expected count of bad-news filings ($\beta = 0.094$, $t = 5.31$). The effect remains significant at 180 days ($\beta = 0.062$, $t = 4.76$), one year ($\beta = 0.051$, $t = 5.51$), and two years ($\beta = 0.035$, $t = 4.54$). The declining magnitude across horizons is consistent with the theoretical prediction: the concealed problems are most likely to surface in the months immediately following the call, with the marginal effect attenuating as the stock of hidden information is progressively revealed.

Panel B examines which types of bad-news disclosures drive the aggregate result. Among the individual 8-K item categories, delisting notices ($\beta = 0.112$, $t = 2.35$) and contract terminations ($\beta = 0.092$, $t = 3.39$) are significantly predicted by attention reallocation over the one-year horizon. These categories represent concrete adverse events — the loss of a material business relationship and failure to meet exchange listing requirements — that are consistent with the deteriorating fundamentals the manager sought to divert attention from during the call. Nonreliance on prior financial statements, which signals accounting problems, is significant in the probit specification ($t = 3.20$) though not in the Poisson count model, likely reflecting the rarity of this event. Material impairments show no significant association, suggesting that the information concealed through attention reallocation pertains more to operational and contractual deterioration than to asset write-downs.

The results are robust to using total 8-K filing counts rather than restricting to bad-news items; these results are reported in the Appendix. The lagged bad-news filing count enters positively and significantly, confirming that firms with a higher baseline filing propensity continue to file at elevated rates, but the attention reallocation effect is incremental to this baseline.

These findings provide direct evidence that the information managers conceal through attention reallocation is real. The negative abnormal returns and elevated crash risk documented in the preceding sections could in principle reflect a risk premium rather than the revelation of concealed information. The mandatory disclosure results rule out this alternative: 8-K filings are triggered by specific corporate events that are not mechanically linked to stock returns, and their prediction by attention reallocation supports the interpretation that managers who reallocate attention are withholding information about deteriorating fundamentals that eventually surfaces through required disclosures.

5.6 Attention Reallocation and Adverse Incidents

The mandatory disclosure results establish that attention reallocation predicts the filing of bad-news 8-K reports. I next test whether the information concealed through reallocation extends beyond financial disclosures to real operational and reputational outcomes. Proposition 5 predicts that attention reallocation is followed by adverse incidents that occur within the firm, consistent with deteriorating fundamentals that the manager sought to obscure during the call. I estimate:

$$Y_{i,t+h} = \alpha + \beta \, \mathit{Attn\ Realloc}^{1Q}_{i,t} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \tag{8}$$

where $Y_{i,t+h}$ is an adverse incident outcome measured over forward windows of 3, 6, and 12 months. I examine three dimensions of incident activity: the log count of incidents, their average severity, and their average media reach. The incident data are from RepRisk, which screens external media, regulatory, and commercial sources to identify adverse events. The control vector includes the lagged incident count (to absorb persistent differences in firms' baseline exposure to incident risk), along with the standard set of firm characteristics. All specifications include firm and year-quarter fixed effects, with standard errors clustered at the firm level.

Insert Table 8

Table 8 reports the results across three panels. Panel A examines incident counts. The coefficient on *Attn Realloc*^{1Q} is positive and significant at the 1% level across all three horizons: 0.010 ($t = 3.64$) at 3 months, 0.014 ($t = 3.97$) at 6 months, and 0.023 ($t = 5.08$) at 12 months. The increasing magnitude with the horizon indicates that the adverse incidents associated with attention reallocation are not concentrated in the immediate post-call period but continue to accumulate over the following year. This pattern is consistent with the gradual materialization of operational problems that managers attempted to divert attention from during the earnings call.

Panel B examines incident severity. The coefficient is positive and significant across all horizons: 0.013 ($t = 2.51$) at 3 months, 0.016 ($t = 2.50$) at 6 months, and 0.023 ($t = 3.24$) at 12 months. Attention reallocation predicts not only more incidents but incidents of greater severity, suggesting that the concealed information pertains to substantive operational or reputational problems rather than minor or routine events.

Panel C examines incident reach, which captures the breadth of media coverage associated with each incident. The coefficient is again positive across all horizons: 0.011 ($t = 2.51$) at 3 months, 0.010 ($t = 1.93$) at 6 months, and 0.012 ($t = 2.01$) at 12 months. The incidents that follow high-reallocation calls receive wider media attention, consistent with these events being more consequential and more visible to stakeholders.

The consistency of results across incident counts, severity, and reach strengthens the interpretation. If the association between attention reallocation and subsequent incidents were driven by noise or measurement error in the RepRisk data, I would not expect it to appear simultaneously across three distinct dimensions of the same underlying events. The results instead point to a coherent pattern: firms whose managers reallocate attention during earnings calls subsequently experience more frequent, more severe, and more widely reported adverse incidents. Combined with the mandatory disclosure findings in Table 7, these results establish that the information concealed through attention reallocation is not limited to financial or accounting outcomes but extends to real operational deterioration that affects the firm's relationships with employees, communities, regulators, and the environment.

5.7 Attention Reallocation and Subsequent Firm Performance

To assess whether attention reallocation is associated with deterioration in real firm fundamentals, I examine whether shifts in managerial attention predict subsequent operating performance and firm valuation. Table 9 reports estimates of return on assets and Tobin's Q, measured one to three quarters ahead, on the attention-reallocation score, with firm and year–quarter fixed effects and the standard set of controls. Panel A shows that firms that reallocate attention experience lower operating performance over the next one to two quarters. Panel B shows a similar pattern for Tobin's Q: attention reallocation predicts lower future valuation over horizons up to three quarters ahead, with no evidence of attenuation over this window. These results indicate that the return and disclosure patterns documented above are accompanied by a deterioration in fundamentals, suggesting that attention reallocation contains information about the firm's subsequent performance trajectory rather than reflecting a purely informational or sentiment-driven repricing.

Insert Table 9

6. Mechanism

In this section, I examine the mechanisms through which managerial attention reallocation affects the announcement returns, crash risk, and subsequent bad-news disclosures documented above.

6.1 Content Decomposition of Attention Reallocation

I begin by decomposing the attention reallocation measure into economically distinct content categories and examine how each category relates to announcement returns, long-run returns, crash-risk predictability, and subsequent bad-news disclosures. Each BERTopic topic is assigned to a category—such as risk factors, corporate actions and capital structure, financial performance, and people and governance—using a large language model calibrated on a manually labeled training set and validated against an independently labeled, blind human sample; the full set of categories and the classification procedure appear in Appendix C1 This decomposition allows me to address two questions the aggregate measure cannot resolve: which types of content drive the announcement-return response and its associated long-run outcomes, and whether the cross-category pattern is more consistent with managers revealing information the market has not yet priced, concealing adverse information behind favorable language, or reallocating toward content that carries no incremental information.

Table 10 reports category-level coefficients for the announcement-return, long-run-return, crash-risk, and bad-news 8-K specifications. Reallocation toward risk-factor and uncertainty content produces the strongest negative announcement reaction: a one-standard-deviation increase in this category predicts a decline of roughly 10 basis points in the three-day announcement return. The subsequent outcomes move in the opposite direction. Long-run returns are significantly positive from the next quarter through two years, crash risk is significantly lower at the same horizons, and the relation to bad-news 8-K filings is weak and inconsistent. The pattern resembles an initial reaction that overshoots, followed by a correction rather than further deterioration, in contrast to the accumulation-and-release framework of Jin and Myers (2006) and Hutton et al. (2009), in which managerial opacity predicts higher future crash risk through the buildup and eventual release of undisclosed adverse information.

Insert Table 10

Reallocation toward corporate action and capital structure content exhibits the opposite pattern. A one-standard-deviation increase in this category predicts a significantly positive announcement return of 3.2 basis points, yet long-run returns are significantly negative from the next quarter through two years, crash risk is significantly higher at every horizon, and bad-news 8-K filings rise persistently for up to two years. The market appears to treat this content favorably at the call, but every subsequent outcome moves against that initial reading. This trajectory is consistent with Rau and Vermaelen (1998) and Loughran and Vijh (1997), who show that acquirers earning favorable announcement returns subsequently underperform as optimistic initial assessments prove difficult to sustain; the results here suggest that a similar dynamic is visible in managerial communication itself, even before or independent of a transaction being formally announced.

Content describing industry conditions and macroeconomic or geopolitical developments—public information available to all market participants—shows no significant relation to announcement returns, long-run returns, crash risk, or bad-news disclosures at any horizon, indicating that the category-level results are not driven by common shocks. Other categories exhibit significant announcement-window effects but do not map cleanly into a single mechanism, and their long-run and crash-risk coefficients vary in sign and significance across horizons; I therefore do not assign these categories to a specific mechanism.

To evaluate whether the predictive power of attention reallocation arises from increases in attention to a category, decreases, or both, I estimate joint regressions that decompose each category-level measure into its positive and negative components. Positive components capture increases in attention to the category relative to the prior quarter, while negative components capture decreases. Table 11 reports the announcement-return and long-run-return results, and Appendix Table B6 reports the corresponding crash-risk and bad-news 8-K specifications.

Insert Table 11

The signed decomposition shows that the announcement-return response to risk-factor and uncertainty content is driven almost entirely by increases in attention to this category. A one-standard-deviation increase in risk-factor attention predicts a decline of roughly 30 basis points across announcement windows, while a decrease predicts a significantly positive announcement return. The long-run outcomes move in the opposite direction: increases in risk-factor attention predict significantly higher returns from the next quarter through two years, whereas decreases carry little long-run information. This asymmetry indicates that the mechanism operates primarily through the revelation of new risk information rather than the concealment of existing information. The crash-risk and disclosure results in Appendix Table B6 reinforce this interpretation: increases in risk-factor attention predict lower future crash risk and no systematic rise in bad-news filings, consistent with an initial reaction that overshoots rather than with the accumulation-and-release dynamics emphasized in prior work.

Corporate action and capital structure content exhibits the opposite signed pattern. Increases in attention to this category predict significantly positive announcement returns, while decreases predict weakly negative returns. Yet only increases carry information about subsequent outcomes: they predict significantly negative long-run returns from the next quarter through two years and significantly higher crash risk and bad-news 8-K filings at every horizon. The market appears to treat managerial emphasis on corporate actions favorably at the call, but every subsequent outcome moves against that initial reading, consistent with the overextrapolation documented in Rau and Vermaelen (1998) and Loughran and Vijh (1997).

The category-level and signed-decomposition results indicate that both revelation and concealment mechanisms can operate, but the dominant mechanism behind the announcement-return response is revelation. An increase in attention to economically meaningful content especially increase in attention to risk-factor information drives the strongest announcement-window reactions and the cleanest patterns in subsequent outcomes.

6.2 Investor Sophistication and Attention Reallocation

A second mechanism examines heterogeneity in investor sophistication. If institutional investors monitor managers more closely or process narrative information more efficiently, the announcement-return response to attention reallocation should be stronger in firms with higher institutional ownership. To test this prediction, I interact the attention-reallocation measure with institutional ownership in the announcement-return specification. Table 12 shows that the interaction term is negative and significant across all announcement windows, indicating that the market reacts more strongly to managerial attention shifts when institutional ownership is high. This pattern is consistent with evidence that institutional investors play a central role in monitoring and information production (Bartov et al., 2000; Dyck and Zingales, 2004; Chen et al., 2007; Boone and White, 2015).

Insert Table 12

7. Conclusion

This paper introduces a measure of managerial attention reallocation based on the shift in the distribution of topics managers discuss during earnings calls relative to their own historical baseline. The measure is constructed using BERTopic applied to the management presentation of earnings call transcripts from 2007 through 2023, and it captures a dimension of managerial communication that existing text based approaches, which focus on sentiment, tone, or document similarity, do not measure. The central finding is that unusual reallocation of managerial attention predicts a broad set of adverse outcomes for the firm, and that markets and analysts consistently fail to extract this signal at the time of the call.

The empirical evidence suggests that large unusual shifts in managerial attention foreshadow deterioration within firms. In the short run, firms with greater attention reallocation experience negative abnormal returns around the earnings call. The effect is not limited to the immediate market response. These firms continue to earn lower returns for up to two years and experience higher crash risk. More importantly, the return response reflects real problems that become visible only later. I show that firms with elevated attention reallocation experience a 9.4% increase in bad-news 8-K filings in the following quarters, including contract terminations and officer departures, and subsequently experience weaker operating performance and lower valuations. These results are robust to alternative constructions of the reallocation measure, additional controls, and sample restrictions.

The findings carry implications for several areas of finance. For the literature on corporate disclosure, the results suggest that the structure of managerial communication, specifically the allocation of attention across topics, contains information that is distinct from and incremental to the content captured by existing textual measures. A manager determined to obscure bad news need not misstate facts or alter the tone of the discussion; redirecting attention to other topics is sufficient to delay the incorporation of adverse information into prices. For the literature on stock price crash risk, the results provide a communication based mechanism through which bad news accumulates inside the firm, complementing the accounting based opacity measures that dominate existing work. For analysts and investors, the results identify an observable signal, the degree to which a manager's topic allocation departs from its historical pattern, that predicts adverse outcomes across multiple dimensions.

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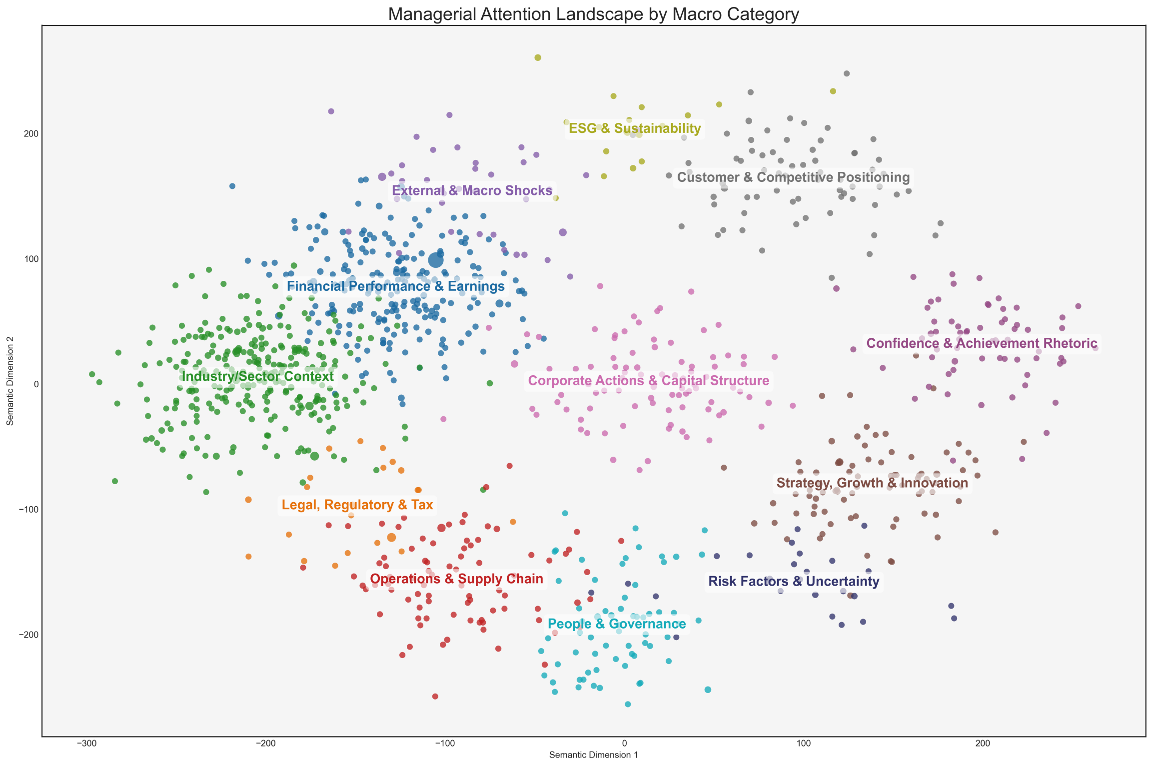

Figure 1. This figure presents the semantic map of managerial discussion derived from earnings-call transcripts. Each point represents a topic, and colors denote macro-categories. The spatial arrangement reflects similarity in managerial language: topics that appear closer together share related linguistic and conceptual content. The figure illustrates that managerial attention is not diffuse but instead clusters into coherent thematic regions that correspond to economically meaningful domains.

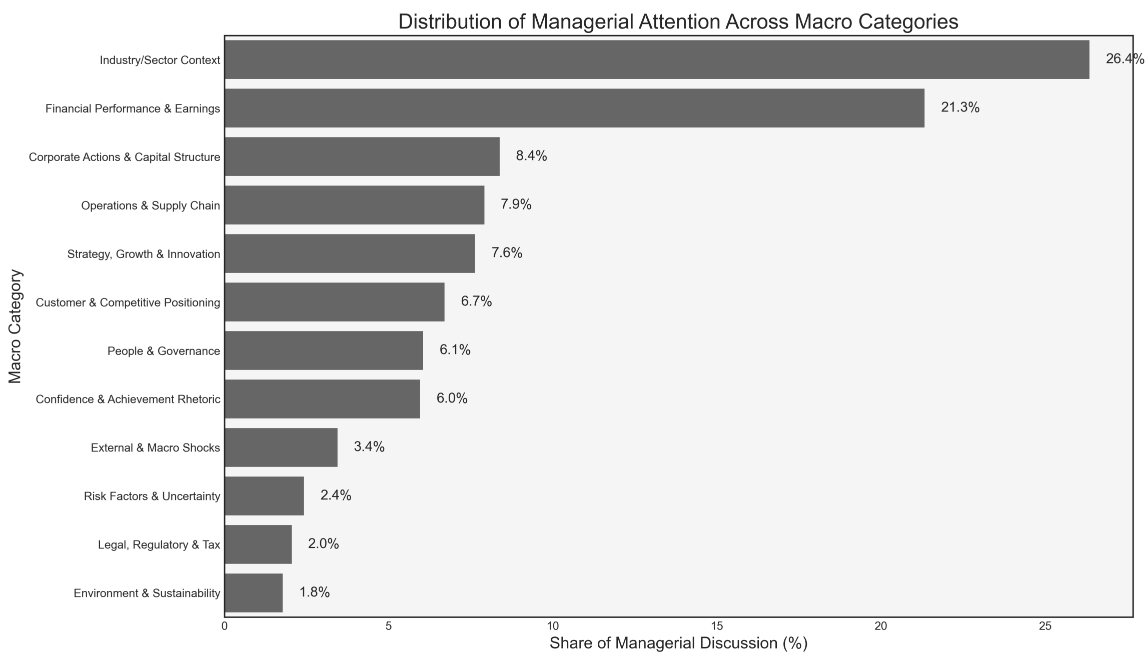

Figure 2. This figure shows the share of managerial discussion allocated to each macro category based on sentence-level topic assignments. Shares are computed as the proportion of all topic-assigned sentences falling into each category.

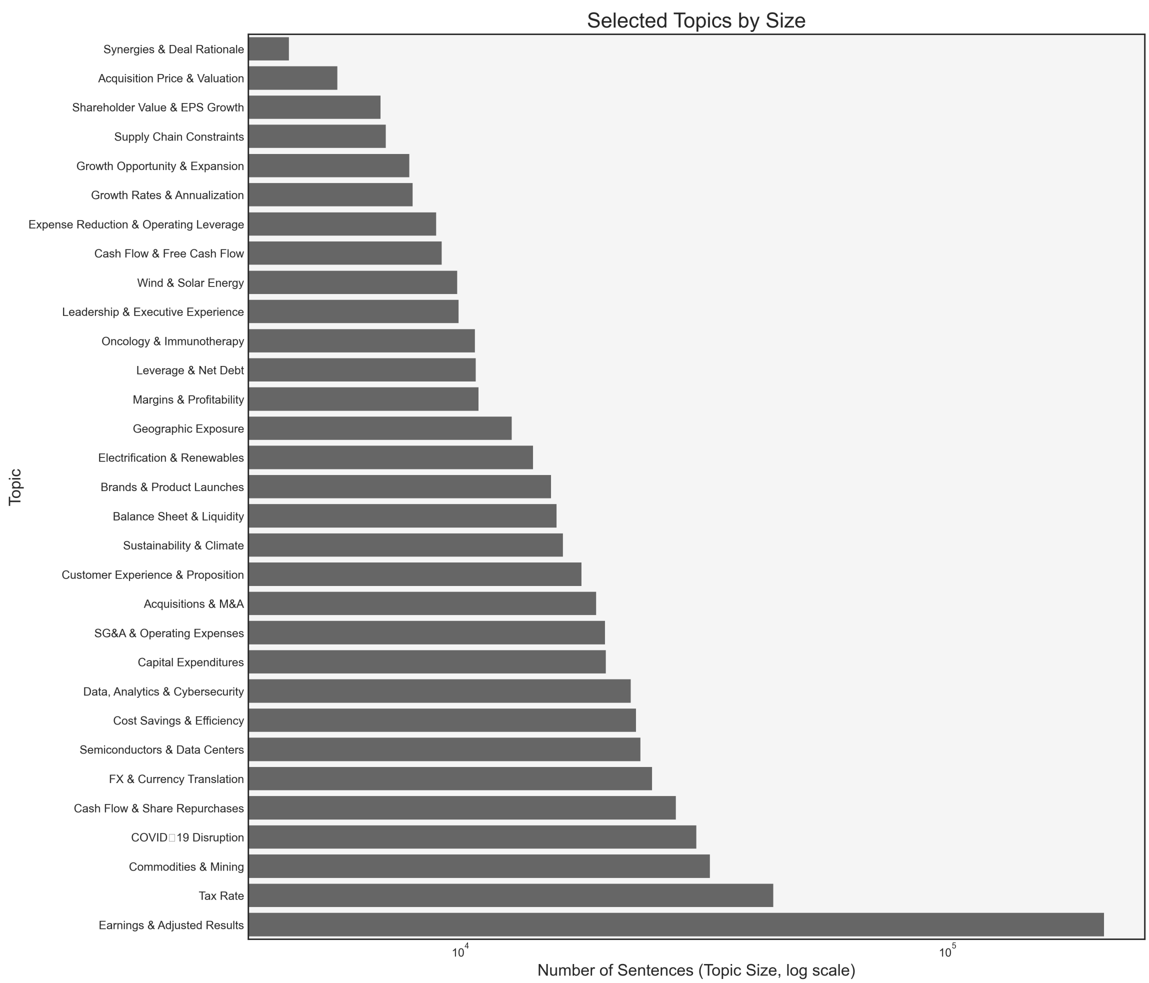

Figure 3. This figure plots the relative size of top thirty managerial attention topics derived from earnings-call transcripts. The x-axis uses a logarithmic scale to display proportional differences across topics.

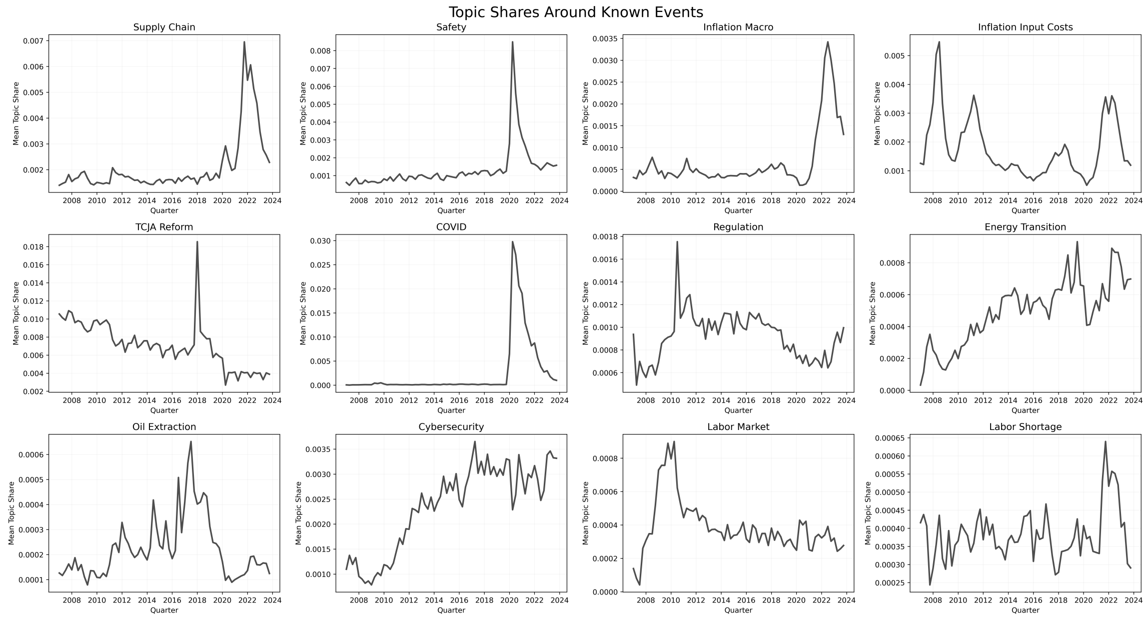

Figure 4. This figure plots mean quarterly topic shares for twelve topics and highlights periods associated with major economic or policy events relevant to each topic. The patterns show clear increases in topic emphasis during these windows, indicating that the topics capture meaningful variation in managerial discussion rather than noise.

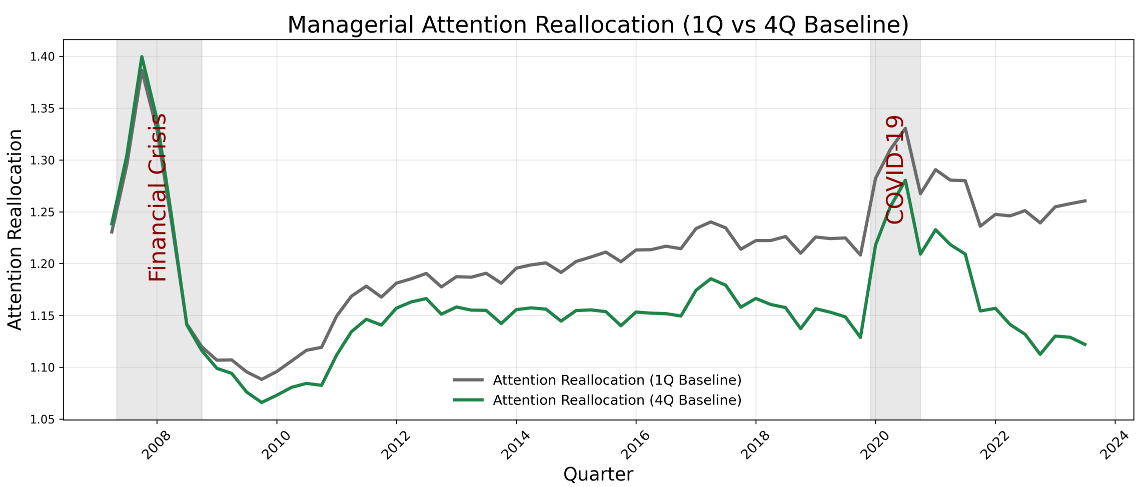

Figure 5. Time series of managerial attention reallocation. This figure plots the quarterly cross-sectional mean of *Attn Realloc*^{1Q} (gray) and *Attn Realloc*^{4Q} (green) from 2007 through 2023. Shaded regions indicate the 2007–2008 financial crisis and the COVID-19 pandemic.

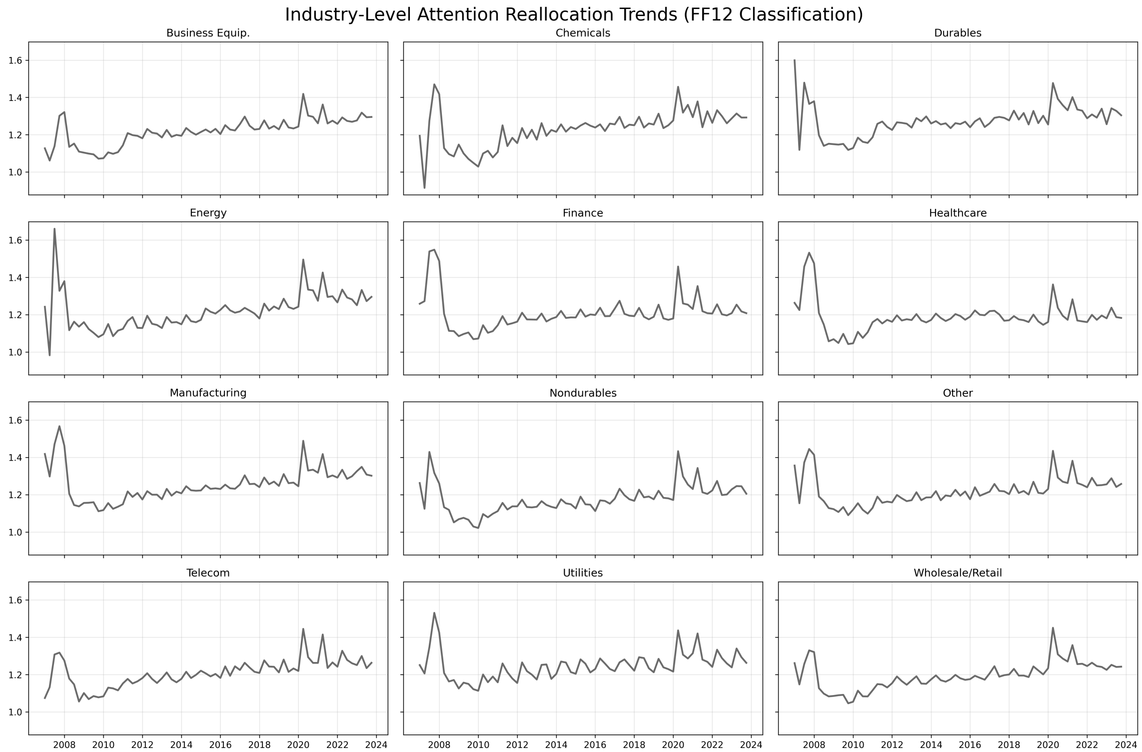

Figure 6. Attention reallocation by industry. This figure plots the quarterly mean of *Attn Realloc*^{1Q} separately for each Fama-French 12 industry group from 2007 through 2023.

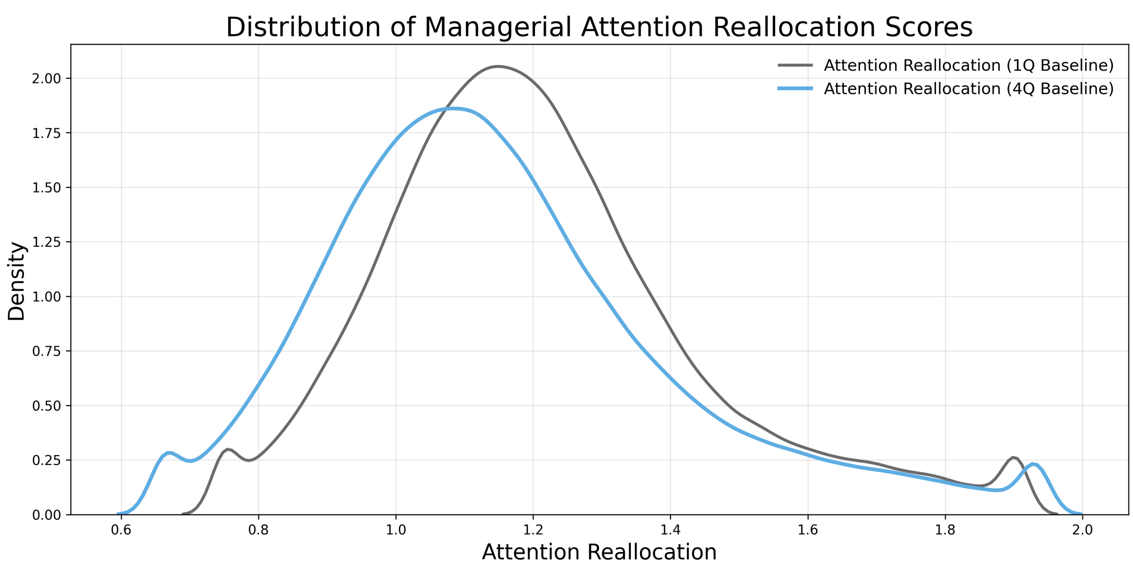

Figure 7. Cross-sectional distribution of attention reallocation. This figure presents kernel density estimates of the pooled cross-sectional distribution of *Attn Realloc*^{1Q} (gray) and *Attn Realloc*^{4Q} (blue) across all firm-quarter observations.

Table 1: Sample Topics and Example Sentences

This table presents a sample of 20 topics identified by the BERTopic model applied to earnings call transcripts from 2007 through 2023. For each topic, I report the manually assigned label and five example sentences assigned to that topic by the model. Topics are identified endogenously through density-based clustering of transformer-based sentence embeddings, and labels are assigned by reviewing the highest-weighted terms from the class-based TF-IDF representation.

Topic ID	**Label**	**Example Sentences**
0	Earnings & Adjusted Results	Earnings growth of 13% contributed £295 million to returns compared to a decline of 8% in the prior year. And 16 companies, 27%, were valued using current year forecast earnings. That strong performance also reflects the fact that we have only used lower forecast earnings for 2 portfolio companies, with a total value of GBP 63 million. At the group level, we have achieved an annual cash operating profit of GBP 28 million, and that's a very real increase from our first time profit of GBP 5 million in 2014. We valued 30 companies on an earnings basis at the 30th of September.
25	Customer Experience & Proposition	So in most cases – in many cases, we have to put an employee at the front of the door to basically control and monitor the customer flow into the store because we have to commit to certain restrictions per – of customer numbers per square meter. In addition to the international expansion, we continue to strengthen our unique customer proposition. So we have a very distinct proposition which drives customers to the store. Most of our customers are giving back to us, and also when you compare that to the closest competitor. Since the first year of our investment in Action when we bought the company from the founders, we've jealously guarded the original customer-centric values of the business as well as bringing an ambitious and long-term mindset.
43	Margins & Profitability	Third, Eversholt has high margins with a low cost base. We have made further improvement in the operating margin and absolute profitability of our Fund Management activities, as you can see here. And that increase in scale delivers a group EBITDA margin in excess of 12%. Beyond this plan, we would expect to see the margin move up further as our younger countries continue to scale and move towards the margins of our more established countries. Over the course of the plan, we expect group EBITDA margin will improve to a little over 12%.
8	COVID-19 Disruption	The world has truly been turned upside down by this global health and economic crisis. This year, we had also asked the investment teams to put each company through a COVID-19 filter, and to reset forecasts and cash flows for any pandemic effect. We're also preparing for the real risk of a second peak of infections at some point somewhere, and have asked management to maintain a minimum EUR 500 million cash position from July onwards. If it were not for the pandemic, we would be marking Action up again to reflect the strong Q1 trade. As I said earlier, we came into the COVID-19 crisis in a very good position.

Continued on next page

Topic ID	Label	Example Sentences
32	Brands & Product Launches	Each is differentiated in their respective markets by the strength of 3i's brand. The brand is very well regarded internationally, and we've recently made some attractive investments, which you can see on this slide. Personally, I've been most struck by the energy of the company and the laser-like focus on very low prices and how the exact same store format works in every country Action enters. And we have plenty of other strong performers, including Basic-Fit, Scandlines and ATESTEO, which I haven't talked about today. Ponroy has strong brands, and it sits right on the megatrend of natural health care and well-being.
71	Shareholder Value & EPS Growth	Earnings growth in our portfolio is being good. And of course, the real test of whether this strategy delivers value will be our long-term financial In the short term, our priorities are to continue to deliver good financial performance, to integrat As I've already said, we continue to see strong earnings growth in much of our portfolio, notwith And of course, we're working very hard with the companies that showed earnings decreases to ge
13	Cost Savings & Efficiency	The benefits of the tough decisions we've taken in our own business is reflected in our operating costs, which have continued to fall. As I mentioned earlier, we have taken tough actions ourselves to improve cost efficiency. This will allow operating efficiencies to be achieved, which in turn, enables a reduction of operating expenses by at least GBP 15 million a year from financial year 2012-13. We have made a lot of progress in reducing costs under Michael's leadership. Costs are approximately GBP 110 million lower than 3 years ago, but there is more to do, and Simon will be addressing this alongside determining the right shape for the business.
14	Data, Analytics & Cybersecurity	And through our monthly dashboard monitoring process, we are very focused on supporting our management teams where they have exposure to slowing sectors or geographies or where they face other factors, which were outside their control. We'll look at transaction data if we can get reliable inputs. Fifth, proprietary analytics. With the recent acquisition of Claro, Wilson has added a proprietary workforce analytics offering. But there were also other areas such as data centers and smart grid and energy efficiency that we wanted to focus on also.
369	Positive EBITDA & Turnaround	EBITDA has tripled during our investment period. EBITDA has grown 68% since our investment in 2007. Through acquisitions, growth and operational improvement, EBITDA is up 21% from the time of our investment in 2008. Positively, it includes a reversal of £18 million in relation to an additional asset, which is showing signs of good earnings recovery after significant intervention on our part. As a result, underlying business performance contributed a 10p improvement.
21	Acquisitions & M&A	We continue to provide acquisition funding as we see our portfolio companies able to do transactions which are not subject to the same high prices we see elsewhere. And this made it a really attractive acquisition target. The acquisition of MIM from Mizuho was therefore a natural step. This next slide shows you the shape of the business once the MIM acquisition is complete, which we expect to be at the end of January 2011. Our Buyout and Growth Capital businesses have the same mid-market focus, targeting companies with an enterprise value in the range of EUR 100 million to EUR 1 billion.

Continued on next page

Topic ID	Label	Example Sentences
195	R&D Investment & Innovation	We made a significant follow-on investment in Scandlines, which has already been a strong investment for 3i. That change of focus means a good share of our recent investments have been sourced directly, away from competitive bank-driven auction processes. 3iN and Scandlines keep delivering the cash, and we have some very interesting platform assets in Cirtec and Q which are set to achieve very good growth over the coming years. I'm proud to say that we already did the first investment, the first add-on, and we hope to be able to announce a few further ones over the next 12 months. And our bolt-on activity creates even more strategic and financial upside over time, which will become obvious when we finally move to realization of these investments.
44	Leverage & Net Debt	However, the net debt of GBP 352 million is comfortably within our GBP 1 billion limit. As an example, the average debt multiple in our buyout portfolio now stands at 4.4x, down from almost 6x, which gives greater headroom to cope with any temporary fluctuations in performance. Our gross debt currently stands at GBP 1.7 billion, and taking into account our cash balances, we have net debt of GBP 531 million. You can see from this slide that we finished the period of investment assets of GBP 3.4 billion and gross debt of GBP 1.7 billion. We've also reduced the leverage across the buyout portfolio from around 6x EBITDA to 4.4x, with over 85% of the portfolio not having any maturities due before 2014.
70	Supply Chain Constraints	As we told you last May, we've struggled with operational issues in the supply chain of Action, and that has led to product availability problems, particularly in France, our largest market. It needs solid foundations and a resilient supply chain to really capitalize on the attraction of the format to consumers wherever it opens. But the detail has been carefully considered against our rollout experience so far, and we're well underway in building an organization and a supply chain to manage that growth. We're also concerned about the behaviors arriving as of the need of many PE firms to put dry powder to work. The supply chain was interrupted.
2	Tax Rate	We reduced investments in expansion, and we've used the facilities that governments put in place to postpone tax payments, including corporate income taxes, VAT and wage taxes where applicable. Also in 2020, sales was held in Germany by the reduction of VAT from 19% to 16% for the high rate and 7% to 5% for the lower rate. In 2021, our stores were impacted by 2 periods of low tax. Also in 2020, sales were helped by the reduction of VAT from 90% to 60% for the high rate and 75% for the lower rate. Carry deductions reduced our NAV by 39p and the surplus income over costs added 41p.

Continued on next page

Topic ID	Label	Example Sentences
118	Synergies & Deal Rationale	The combination of the MIM team's track record and capabilities and 3i's brand and financial strength position us well to take advantage of these opportunities. We've improved where necessary, for example, in bringing together our buyout and growth capital businesses, so that they might operate more effectively in the market. Management was attracted to 3i's track record in the automotive industry, our ability to further internationalize businesses, along with our active partnership approach to drive further efficiencies from across the business. We're satisfied that in all 3 cases, we have bought promising businesses at fair prices with realistic plans to achieve our 2x hurdle. The sale simplifies the group and focuses our people and resources on 2 high-quality businesses.
18	Capital Expenditures	We estimated then that implementation cost will be about GBP 30 million, and we have provided for GBP 25 million in this period. At the highest level, we started the year with a run rate cost base of GBP 185 million or 1.8% of our assets under management. And that means we finished the year, at March 31, 2013, with a cost run rate of GBP 140 million or 1.1% of AUM. In 2021, our CapEx increased by EUR 10 million or 5.8% to EUR 183 million. The driver is the sales of our assets of DC Osla, which was recorded in 2021 and concerns the de facto shift of EUR 21.4 million CapEx between 2021 and 2019, which was the year in which the majority of the CapEx for DC Osla was incurred.
10	FX & Currency Translation	The earning hedging in operation in the six-month period was that affected by our core currency borrowings. So for example, we have limited exposure in European financials, which had a significant impact on total market movements, and our value exposure to consumer is much more heavily weighted to Asia. This is principally due to currency and specifically, the share price performance of Adani Power. And finally, as a sterling investor, currency markets have also proved challenging with weakness in the euro and the rupee being particularly relevant for us. We did see some pullback in the valuations of some of our Indian assets, given the challenging supply-side and macroeconomic conditions we face in India.
29	Sustainability & Climate	So moving on to sustainability or ESG, a very big and important, I would say, point of differentiation. And therefore, we have updated our sustainability strategy, and we've decided that we want to commit ourselves to 4 specific developmental goals which are also being embraced by the United Nations. So the first one is about responsible consumption, and we've developed a philosophy around the product pillar. We have committed ourselves to the environmental pillar. So when we launched strategy make sustainability accessible, I think sustainability speaks for itself, but I think the word accessibility requires some explanation.

Continued on next page

Topic ID	Label	Example Sentences
53	Cash Flow & Free Cash Flow	So last year's return benefited from the realization of the original debt warehouse. Debt Management makes significant contribution to our operating cash flow. We've seen considerable improvement in our Private Equity performance, including an impressive run of cash realizations. But strong realizations, good earnings growth and net fee income have been a big contributor at 41p, and 20p of that performance relates to cash realized profits. We've generated very strong realized profits, good earnings growth and a reduction in operating costs.
38	Geographic Exposure	The market opportunity in Europe and North America is driven by similar factors. In five out of these six, we supported their international development. I believe this is unique in the European mid-market, particularly when combined with our presence and experience of markets such as India, China, and most recently, Brazil. Northern Europe has provided our strongest realizations in the year. Another observation I would make is that many of the challenged investments from 2007 to 2009 came out of the U.K. and the Spanish offices.

Table 2: Summary Statistics

This table reports summary statistics for the main variables used in the analysis. The sample consists of 4,332 unique U.S. listed firms and 131,379 firm-quarter observations from 2007 through 2023. Panel A reports the attention reallocation measures. $Attn\ Realloc_t^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter, constructed from earnings call transcripts (Capital IQ) using the BERTopic methodology described in Section III. $Attn\ Realloc_t^{4Q}$ measures the corresponding shift relative to the trailing four-quarter average. Panel B reports cumulative abnormal returns computed using a market model estimated over trading days −255 to −46 (CRSP). $PEAD_t$ is the cumulative abnormal return over trading days +2 to +60. Panel C reports crash risk measures following Kim, Li, and Zhang (2011). *NCSKEW* is the negative of the third moment of firm-specific weekly returns scaled by the cubed standard deviation, computed over forward windows of 1, 2, 4, and 8 quarters. *W* is long run buy and hold return over the same windows. Panels D and E report options market and analyst outcomes, respectively. Panels F and G report subsequent bad-news 8-K filings and adverse environmental and social incidents. Panel H reports subsequent operating performance, and Panel I reports the firm-level control variables. Detailed variable definitions and data sources are provided in Appendix Table A1. All continuous variables are winsorized at the 1st and 99th percentiles.

	Dependent Variable = Number of Incidents					
	(1)	(2)	(3)	(4)	(5)	(6)
	Mean	Std. Dev.	P25	Median	P75	N
Panel A: Attention Reallocation Measures						
$Attn\ Realloc_t^{1Q}$	1.203	0.322	0.960	1.145	1.447	131379
$Attn\ Realloc_t^{4Q}$	1.137	0.237	0.975	1.109	1.264	131379
Panel B: Abnormal Returns						
$CAR(-1,+1)$	0.001	0.088	-0.040	0.000	0.042	131379
$CAR(-1,+2)$	-0.000	0.094	-0.044	-0.000	0.044	131379
$CAR(-1,+3)$	-0.000	0.099	-0.047	-0.000	0.046	131379
$CAR(0,+1)$	-0.000	0.084	-0.039	-0.000	0.038	131379
$CAR(-2,+2)$	0.000	0.097	-0.046	0.000	0.046	131379
$PEAD_t$	-0.005	0.223	-0.113	-0.007	0.096	131175
Panel C: Crash Risk						
$NCSKEW_{t+1Q}$	0.071	1.243	-0.837	0.081	0.986	130632
$NCSKEW_{t+2Q}$	0.076	1.101	-0.627	0.065	0.756	129950
$NCSKEW_{t+4Q}$	0.083	1.000	-0.482	0.056	0.606	128892
$NCSKEW_{t+8Q}$	0.087	0.938	-0.391	0.052	0.524	126989
W_{t+1Q}	-0.005	0.202	-0.112	-0.010	0.088	130632
W_{t+2Q}	-0.008	0.305	-0.172	-0.021	0.127	129950
W_{t+4Q}	-0.016	0.470	-0.273	-0.042	0.183	128892
W_{t+8Q}	-0.031	0.716	-0.432	-0.089	0.255	126989
Panel D: Options Market						
$Abn\ PCIV_t$	0.026	0.086	-0.020	0.019	0.065	103828

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	Dependent Variable = Number of Incidents (cont.)					
	(1)	(2)	(3)	(4)	(5)	(6)
	Mean	Std. Dev.	P25	Median	P75	N
$IV\ JUMP_t$	-0.050	0.084	-0.091	-0.042	-0.004	97526
$IV\ JUMP_{t+1}$	-0.053	0.076	-0.088	-0.043	-0.014	91519
Panel E: Analyst Behavior						
$Rev\ Intensity_t$	0.743	0.431	0.500	1.000	1.000	67049
$Boldness_t$	0.487	0.351	0.188	0.500	0.778	53624
$Dispersion_t$	0.193	0.498	0.028	0.068	0.171	58489
$Forecast\ Error_t$	0.166	0.309	0.028	0.066	0.165	57294
$Disagreement_t$	0.226	0.360	0.040	0.097	0.240	54533
$Cons\ Revision_t$	-0.000	0.035	-0.001	0.001	0.003	75851
$Cons\ Dispersion_t$	0.006	0.026	0.000	0.001	0.003	72345
Panel F: Mandatory Disclosures (8-K)						
$Bad\ News\ 8K_{t+90d}$	0.729	0.935	0.000	0.000	1.000	130829
$Bad\ News\ 8K_{t+180d}$	1.466	1.430	0.000	1.000	2.000	130829
$Bad\ News\ 8K_{t+1Y}$	3.020	2.274	1.000	3.000	4.000	130829
$Bad\ News\ 8K_{t+2Y}$	5.816	3.692	3.000	5.000	8.000	130829
$Departures_{t+1Y}$	2.601	2.003	1.000	2.000	4.000	130829
$Terminations_{t+1Y}$	0.180	0.453	0.000	0.000	0.000	130829
$Impairments_{t+1Y}$	0.031	0.204	0.000	0.000	0.000	130829
$Non\ Reliance_{t+1Y}$	0.015	0.135	0.000	0.000	0.000	130829
$Delisting_{t+1Y}$	0.125	0.482	0.000	0.000	0.000	130829
Panel G: Adverse ES Incidents						
$ESG\ Incidents_{t+3M}$	0.193	0.952	0.000	0.000	0.000	123142
$ES\ Incidents_{t+6M}$	0.386	1.783	0.000	0.000	0.000	123142
$ES\ Incidents_{t+1Y}$	0.770	3.418	0.000	0.000	0.000	123142
$Severity_{t+3M}$	0.179	0.581	0.000	0.000	0.000	123317
$Severity_{t+6M}$	0.268	0.693	0.000	0.000	0.000	123317
$Severity_{t+1Y}$	0.377	0.795	0.000	0.000	0.000	123317
$Reach_{t+3M}$	0.141	0.490	0.000	0.000	0.000	123317
$Reach_{t+6M}$	0.207	0.572	0.000	0.000	0.000	123317
$Reach_{t+1Y}$	0.287	0.649	0.000	0.000	0.000	123317
$ES\ Incidents_{t-1}$	0.084	0.284	0.000	0.000	0.000	123317
Panel H: Operational Performance						
ROA_{t+1Q}	-0.005	0.056	-0.005	0.007	0.019	129984
ROA_{t+2Q}	-0.005	0.057	-0.005	0.007	0.019	128372
$Tobin's\ Q_{t+1Q}$	2.146	1.643	1.130	1.567	2.451	130019
$Tobin's\ Q_{t+2Q}$	2.143	1.640	1.130	1.567	2.447	128409
Panel I: Control Variables						

Continued on next page

	Dependent Variable = Number of Incidents (cont.)					
	(1)	(2)	(3)	(4)	(5)	(6)
	Mean	Std. Dev.	P25	Median	P75	N
$Firm\ Size_{t-1}$	14.193	2.020	12.791	14.187	15.522	131379
$Return_{t-1}$	0.021	0.430	-0.227	-0.024	0.189	131379
$BEME_{t-1}$	0.600	0.797	0.221	0.440	0.782	131379
$Investment_{t-1}$	0.023	0.032	0.004	0.012	0.028	131379
$Leverage_{t-1}$	0.249	0.219	0.064	0.213	0.372	131379
$Tobin's\ Q_{t-1}$	2.155	1.661	1.132	1.569	2.463	131379
$R\&D_{t-1}$	0.014	0.028	0.000	0.000	0.017	131379
$Dummy\ R\&D\ Missing_{t-1}$	0.470	0.499	0.000	0.000	1.000	131379
$Complexity_{t-1}$	0.447	0.170	0.321	0.417	0.546	131379
$Inst\ Own_{t-1}$	0.720	0.259	0.596	0.800	0.917	131379
$Segment\ HHI_{t-1}$	0.286	0.145	0.180	0.333	0.333	131379
$RVOL^{pre}_{t-1}$	0.026	0.017	0.015	0.021	0.032	131379
$Amihud^{pre}_{t-1}$	0.086	0.407	0.000	0.001	0.010	131379
SUE_{t-1}	-0.161	3.000	-0.729	-0.022	0.649	131379
$DTURN_{t-1}$	-0.000	0.080	-0.035	-0.002	0.030	131183
$ACCM_{t-1}$	0.240	0.209	0.106	0.181	0.307	130215
$NCSKEW_{t-1}$	0.057	1.246	-0.870	0.067	0.981	131226
σ_{t-1}	0.048	0.031	0.027	0.040	0.060	131226
$\overline{W}_{t-1}$	-0.002	0.013	-0.008	-0.001	0.005	131226

Table 3: Attention Reallocation and Announcement Returns

This table reports estimates from regressions of cumulative abnormal returns on managerial attention reallocation. The dependent variable in columns (1) through (5) is the cumulative abnormal return over the indicated window around the earnings call, computed using a market model estimated over trading days −255 to −46. The dependent variable in column (6) is the post-earnings announcement drift, $CAR(+2,+60)$. *Attn Realloc*^{1Q} measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All control variables are lagged and defined in Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$	(6) $PEAD_t$
$Attn\ Realloc_t^{1Q}$	-0.005***	-0.005***	-0.006***	-0.006***	-0.005***	-0.006**
	(-4.567)	(-4.360)	(-4.426)	(-4.224)	(-4.369)	(-2.244)
$Firm\ Size_{t-1}$	0.027***	0.029***	0.031***	0.031***	0.026***	-0.016***
	(19.826)	(19.232)	(19.040)	(19.472)	(20.978)	(-3.850)
$Past\ Return_{t-1}$	-0.023***	-0.029***	-0.035***	-0.033***	-0.019***	-0.223***
	(-19.210)	(-18.686)	(-19.203)	(-20.072)	(-16.781)	(-37.171)
SUE_{t-1}	0.002***	0.002***	0.002***	0.002***	0.002***	0.004***
	(8.431)	(8.150)	(8.227)	(8.143)	(8.249)	(6.903)
$Investment_{t-1}$	-0.106***	-0.127***	-0.129***	-0.128***	-0.101***	-0.028
	(-7.015)	(-7.857)	(-7.168)	(-7.612)	(-6.839)	(-0.393)
$Leverage_{t-1}$	0.001	-0.002	-0.003	-0.003	-0.001	0.005
	(0.322)	(-0.451)	(-0.612)	(-0.639)	(-0.411)	(0.397)
$Tobin's\ Q_{t-1}$	-0.011***	-0.012***	-0.013***	-0.013***	-0.010***	-0.012***
	(-18.225)	(-18.035)	(-17.523)	(-19.055)	(-17.814)	(-5.360)
$Book\text{-}to\text{-}Market_{t-1}$	-0.010***	-0.012***	-0.013***	-0.013***	-0.010***	0.012***
	(-6.457)	(-6.755)	(-7.471)	(-7.012)	(-7.063)	(2.656)
$R\&D_{t-1}$	0.197***	0.204***	0.241***	0.245***	0.163***	0.463***
	(4.979)	(4.339)	(4.719)	(5.216)	(4.205)	(3.339)
$R\&D\ Missing_{t-1}$	-0.000	-0.001	-0.000	-0.000	-0.000	0.002
	(-0.067)	(-0.422)	(-0.086)	(-0.189)	(-0.251)	(0.412)
$Complexity_{t-1}$	0.001	0.000	-0.000	0.000	0.002	-0.010
	(0.429)	(0.015)	(-0.013)	(0.010)	(0.647)	(-1.287)
$Inst\ Own_{t-1}$	-0.027***	-0.029***	-0.031***	-0.033***	-0.025***	-0.039***
	(-7.118)	(-6.958)	(-6.758)	(-7.656)	(-7.105)	(-3.595)
$Segment\ HHI_{t-1}$	0.007*	0.007*	0.008*	0.007*	0.005*	0.038***
	(1.988)	(1.711)	(1.805)	(1.813)	(1.736)	(4.194)
$RVOL_{t-1}^{pre}$	0.441***	0.482***	0.535***	0.623***	0.375***	0.916***
	(9.960)	(9.750)	(9.129)	(11.860)	(9.362)	(4.279)
$Amihud_{t-1}^{pre}$	0.013***	0.014***	0.015***	0.015***	0.012***	0.028***
	(9.409)	(9.096)	(9.173)	(9.029)	(8.784)	(5.763)
Constant	-0.338***	-0.371***	-0.399***	-0.395***	-0.324***	0.242***
	(-18.341)	(-17.799)	(-17.608)	(-18.017)	(-19.278)	(3.874)
Firm FE	YES	YES	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES	YES	YES
Observations	131169	131169	131169	131169	131169	130969
R-squared	0.085	0.090	0.095	0.095	0.085	0.278

Table 4: Attention Reallocation and Crash Risk

This table reports estimates from regressions of crash risk and long-run returns on managerial attention reallocation. In Panel A, the dependent variable is $NCSKEW$, the negative coefficient of skewness of firm-specific weekly returns, computed over forward windows of 1, 2, 4, and 8 quarters following the earnings call, following Kim et al. (2011b). In Panel B, the dependent variable is $\overline{W}$, size-adjusted buy-and-hold abnormal returns over the same forward windows. $\textit{Attn Realloc}^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications include the standard crash risk controls: $DTURN_{t-1}$, $NCSKEW_{t-1}$, σ_{t-1}, and $\overline{W}_{t-1}$, as well as $\textit{Firm Size}_{t-1}$, $\textit{Past Return}_{t-1}$, $\textit{Inst Own}_{t-1}$, ROA_{t-1}, SUE_{t-1}, $BEME_{t-1}$, HHI_{t-1}, $ACCM_{t-1}$, $\textit{Investment}_{t-1}$, $\textit{Leverage}_{t-1}$, $\textit{Tobin's } Q_{t-1}$, $R\&D_{t-1}$, and $\textit{Complexity}_{t-1}$. I suppresses the controls for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Dependent Variable = NCSKEW			
	(1)	(2)	(3)	(4)
Panel A: Crash Risk	$NCSKEW_{t+1Q}$	$NCSKEW_{t+2Q}$	$NCSKEW_{t+4Q}$	$NCSKEW_{t+8Q}$
$\textit{Attn Realloc}_t^{1Q}$	0.042***	0.032***	0.029**	0.022*
	(3.305)	(2.584)	(2.419)	(1.865)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	129073	128399	127355	125479
R-squared	0.073	0.112	0.173	0.284
Panel B: Long-Run Returns	W_{t+1Q}	W_{t+2Q}	W_{t+4Q}	W_{t+8Q}
$\textit{Attn Realloc}_t^{1Q}$	-0.007***	-0.011***	-0.015***	-0.020*
	(-3.454)	(-3.313)	(-2.716)	(-1.876)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	129073	128399	127355	125479
R-squared	0.125	0.196	0.303	0.498

Table 5: Attention Reallocation and Analyst Behavior

This table reports estimates from regressions of analyst behavior outcomes on managerial attention reallocation. Columns (1) and (2) measure analyst activity: $\textit{Rev Intensity}_t$ is the fraction of analysts who revise their forecast within 10 trading days of the earnings call, and $\textit{Boldness}_t$ measures whether the analyst's revision magnitude exceeds the median peer revision, following Clement and Tse (2005). Columns (3) and (4) measure the information environment: $\textit{Dispersion}_t$ is the cross-sectional standard deviation of outstanding analyst forecasts following Diether, Malloy, and Scherbina (2002), and $\textit{Disagreement}_t$ is the mean absolute deviation of individual forecasts from the consensus. Columns (5) and (6) measure earnings outcomes: $\textit{SUE}_{t+1}$ is standardized unexpected earnings scaled by price following Livnat and Mendenhall (2006), and $\textit{Cons Dispersion}_{t+1}$ is consensus forecast dispersion scaled by price. $\textit{Attn Realloc}^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for firm and analyst characteristics inlcuding $\textit{Firm Size}_{t-1}$, $\textit{Past Return}_{t-1}$, $\textit{SUE}_{t-1}$, $\textit{Investment}_{t-1}$, $\textit{Leverage}_{t-1}$, $\textit{Tobin's Q}_{t-1}$, $\textit{BEME}_{t-1}$, $\textit{R\&D}_{t-1}$, $\textit{Complexity}_{t-1}$, $\textit{Inst Own}_{t-1}$, $\textit{HHI}_{t-1}$, $\textit{RVOL}^{pre}_{t-1}$, $\textit{Amihud}^{pre}_{t-1}$, and pre-call analyst dispersion; coefficients on controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Dependent Variable = Analyst outcomes					
	(1)	(2)	(3)	(4)	(5)	(6)
	$\textit{Rev Intensity}_t$	$\textit{Boldness}_t$	$\textit{Dispersion}_t$	$\textit{Disagreement}_t$	$\textit{Cons Revision}_t$	$\textit{Cons Dispersion}_t$
$\textit{Attn Realloc}^{1Q}_t$	0.044***	-0.049***	0.020***	0.011**	-0.001**	0.000*
	(2.981)	(-7.761)	(2.667)	(2.134)	(-2.481)	(1.847)
Controls	YES	YES	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES	YES	YES
Observations	62371	49084	56242	49826	69235	68316
R-squared	0.476	0.073	0.477	0.483	0.186	0.621

Table 6: Attention Reallocation and Options Market Pricing

This table reports estimates from regressions of options market variables on managerial attention reallocation. In column (1), the dependent variable is $Abn\ PCIV_t$, the average implied volatility over trading days -5 to -1 minus the firm's 60-trading-day historical average (OptionMetrics). In column (2), the dependent variable is $IV\ JUMP_t$, the change in implied volatility from trading day -1 to trading day $+1$ around the earnings call. In column (3), the dependent variable is $IV\ JUMP_{t+1}$, the corresponding measure for the following quarter's earnings call. All implied volatilities are from the OptionMetrics volatility surface for 30-day, 50-delta call options. $Attn\ Realloc^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for $Firm\ Size_{t-1}$, $Past\ Return_{t-1}$, SUE_{t-1}, $Investment_{t-1}$, $Leverage_{t-1}$, $Tobin's\ Q_{t-1}$, $BEME_{t-1}$, $R\&D_{t-1}$, $Complexity_{t-1}$, $Inst\ Own_{t-1}$, HHI_{t-1}, $RVOL^{pre}_{t-1}$, and $Amihud^{pre}_{t-1}$; coefficients on controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Dependent Variable =		
	(1)	(2)	(3)
	$Abn\ PCIV_t$	$IV\ JUMP_t$	$IV\ JUMP_{t+1}$
$Attn\ Realloc^{1Q}_t$	-0.030***	0.036***	0.002**
	(-11.818)	(15.739)	(2.051)
Controls	YES	YES	YES
Firm FE	YES	YES	YES
Year-Quarter FE	YES	YES	YES
Observations	103649	97331	91345
R-squared	0.297	0.195	0.237

Table 7: Attention Reallocation and Bad-News Mandatory Disclosures

This table reports estimates from regressions of bad-news 8-K filings on managerial attention reallocation. In Panel A, the dependent variable is the count of bad-news 8-K filings within forward windows of 90 days, 180 days, 1 year, and 2 years following the earnings call. Bad-news items include termination of a material agreement (Item 1.02), bankruptcy or receivership (Item 1.03), triggering events affecting debt (Item 2.04), exit or disposal costs (Item 2.05), material impairments (Item 2.06), notice of delisting (Item 3.01), auditor changes (Item 4.01), nonreliance on previously issued financial statements (Item 4.02), departure of directors or officers (Item 5.02), and suspension of trading in benefit plans (Item 5.04), classified following Lerman and Livnat (2010). Panel B reports results for individual item categories over the 1-year window. All regressions are estimated using Poisson pseudo-maximum likelihood (PPML) with high-dimensional fixed effects. $\textit{Attn Realloc}^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for $\textit{Bad News 8K}_{t-1Y}$ (the count of bad-news filings in the year before the call), $\textit{Firm Size}_{t-1}$, $\textit{Past Return}_{t-1}$, $\textit{SUE}_{t-1}$, $\textit{Investment}_{t-1}$, $\textit{Leverage}_{t-1}$, $\textit{Tobin's Q}_{t-1}$, $\textit{BEME}_{t-1}$, $\textit{R\&D}_{t-1}$, $\textit{Complexity}_{t-1}$, $\textit{Inst Own}_{t-1}$, $\textit{HHI}_{t-1}$, $\textit{RVOL}^{pre}_{t-1}$, and $\textit{Amihud}^{pre}_{t-1}$; coefficients on controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. Results using total 8-K filing counts (including non-bad-news items) are reported in the Appendix and are consistent. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)
Panel A: Bad-news 8-K filings	$\textit{Bad News 8K}_{t+90d}$	$\textit{Bad News 8K}_{t+180d}$	$\textit{Bad News 8K}_{t+1Y}$	$\textit{Bad News 8K}_{t+2Y}$
$\textit{Attn Realloc}^{1Q}_t$	0.094***	0.062***	0.051***	0.035***
	(5.314)	(4.757)	(5.509)	(4.535)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	130296	130501	130574	130580
Pseudo R-squared	0.071	0.093	0.130	0.191

Panel B: Categories of 8-K Filings	$\textit{Departures}_{t+1Y}$	$\textit{Terminations}_{t+1Y}$	$\textit{Non Reliance}_{t+1Y}$	$\textit{Delisting}_{t+1Y}$
$\textit{Attn Realloc}^{1Q}_t$	0.048***	0.104***	0.135***	0.112**
	(5.148)	(3.593)	(2.871)	(2.348)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	130442	93584	62189	62189
Pseudo R-squared	0.119	0.121	0.067	0.322

Table 8: Attention Reallocation and Adverse ES Incidents

This table reports estimates from regressions of adverse environmental and social (ES) incidents on managerial attention reallocation. In Panel A, the dependent variable is the natural logarithm of one plus the count of adverse ES incidents from RepRisk within forward windows of 3, 6, and 12 months following the earnings call. In Panel B, the dependent variable is the average severity of incidents within the same forward windows, where severity is coded by RepRisk on a scale reflecting the potential impact of the event. In Panel C, the dependent variable is the average reach of incidents, reflecting the breadth of media coverage. $\textit{Attn Realloc}^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for $\textit{Past Incidents}_{t-1}$ (lagged incident count), $\textit{Firm Size}_{t-1}$, $\textit{Past Return}_{t-1}$, $\textit{SUE}_{t-1}$, $\textit{Investment}_{t-1}$, $\textit{Leverage}_{t-1}$, $\textit{Tobin's Q}_{t-1}$, $\textit{BEME}_{t-1}$, $\textit{R\&D}_{t-1}$, $\textit{Complexity}_{t-1}$, $\textit{Inst Own}_{t-1}$, $\textit{HHI}_{t-1}$, $\textit{RVOL}^{pre}_{t-1}$, and $\textit{Amihud}^{pre}_{t-1}$; coefficients on controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Number of Incidents	(1) $\textit{ES Incidents}_{t+3M}$	(2) $\textit{ES Incidents}_{t+6M}$	(3) $\textit{ES Incidents}_{t+1Y}$
$\textit{Attn Realloc}^{1Q}_t$	0.010***	0.014***	0.023***
	(3.642)	(3.967)	(5.080)
Controls	YES	YES	YES
Firm FE	YES	YES	YES
Year-Quarter FE	YES	YES	YES
Observations	130442	130442	130442
R-squared	0.621	0.706	0.774
Panel B: Severity of incidents	$\textit{Severity}_{t+3M}$	$\textit{Severity}_{t+6M}$	$\textit{Severity}_{t+1Y}$
$\textit{Attn Realloc}^{1Q}_t$	0.013**	0.016**	0.023***
	(2.505)	(2.500)	(3.244)
Controls	YES	YES	YES
Firm FE	YES	YES	YES
Year-Quarter FE	YES	YES	YES
Observations	130442	130442	130442
R-squared	0.455	0.518	0.584
Panel C: Reach of incidents	$\textit{Reach}_{t+3M}$	$\textit{Reach}_{t+6M}$	$\textit{Reach}_{t+1Y}$
$\textit{Attn Realloc}^{1Q}_t$	0.011**	0.010*	0.012**
	(2.511)	(1.930)	(2.005)
Controls	YES	YES	YES
Firm FE	YES	YES	YES
Year-Quarter FE	YES	YES	YES
Observations	130442	130442	130442
R-squared	0.436	0.493	0.553

Table 9: Attention Reallocation and Subsequent Firm Performance

This table examines the relation between managerial attention reallocation and subsequent firm performance. Panel A reports estimates from regressions of future return on assets (ROA) on managerial attention reallocation. Panel B reports estimates from regressions of future Tobin's Q on managerial attention reallocation. The dependent variables are measured one, two, and three quarters following the earnings call. *Attn Realloc*^{1Q} measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications include the full set of control variables used in the baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Operating Performance

	(1) ROA_{t+1Q}	(2) ROA_{t+2Q}	(3) ROA_{t+3Q}
Attn Realloc$_t^{1Q}$	-0.001**	-0.001**	-0.001
	(-2.148)	(-2.214)	(-1.273)
Controls	YES	YES	YES
Firm FE	YES	YES	YES
Year-Quarter FE	YES	YES	YES
Observations	129695	128076	126361
R-squared	0.628	0.616	0.608

Panel B: Firm Valuation

	(1) *Tobin's* Q_{t+1Q}	(2) *Tobin's* Q_{t+2Q}	(3) *Tobin's* Q_{t+3Q}
Attn Realloc$_t^{1Q}$	-0.058***	-0.061***	-0.049***
	(-7.133)	(-6.420)	(-4.451)
Controls	YES	YES	YES
Firm FE	YES	YES	YES
Year-Quarter FE	YES	YES	YES
Observations	129713	128107	126412
R-squared	0.858	0.822	0.799

Table 10: Category-Level Drivers of Market and Disclosure Outcomes

This table examines which content categories of managerial attention reallocation drive announcement returns, crash risk, long-run returns, and bad-news 8-K filings. I decompose attention reallocation into 12 economically distinct content and assigned each BERTopic topic to one of the 12 categories; the classification procedure is described in Appendix C1. All 12 categories enter each regression jointly, so a coefficient reports the outcome associated with shifting attention toward that category while holding attention to the remaining 11 fixed. Panel A reports coefficients from regressions of cumulative abnormal returns (CAR) over the indicated windows around the earnings call, computed using a market model estimated over trading days -255 to -46; column (6) reports post-earnings announcement drift, $CAR(+2,+60)$. Panel B reports estimates for crash risk, measured as $NCSKEW$ over forward windows of 1, 2, 4, and 8 quarters following the call. Panel C reports long-run returns, measured as the mean firm-specific weekly return $\overline{W}$ over the same horizons. Panel D reports Poisson pseudo-maximum-likelihood estimates for the count of bad-news 8-K filings within forward windows of 90 days, 180 days, 1 year, and 2 years following the call. All specifications include firm and year-quarter fixed effects and the full set of controls used in the baseline regressions; variable definitions are provided in Appendix Table A1. Standard errors are clustered at the firm level, and t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$	(6) $PEAD_t$
Risk & Uncertainty	-0.104***	-0.106***	-0.107***	-0.128***	-0.099***	0.020
	(-6.966)	(-6.673)	(-6.384)	(-7.707)	(-6.875)	(0.552)
Strategy & Growth	-0.050***	-0.051***	-0.053***	-0.050***	-0.047***	-0.012
	(-8.527)	(-8.250)	(-8.112)	(-7.741)	(-8.278)	(-0.828)
Operations & Supply Chain	-0.047***	-0.049***	-0.051***	-0.049***	-0.041***	-0.066***
	(-6.230)	(-5.980)	(-5.961)	(-5.717)	(-5.676)	(-3.539)
Corp. Actions & Cap. Struct	0.030***	0.029***	0.030***	0.032***	0.026***	-0.009
	(6.296)	(5.707)	(5.709)	(6.050)	(5.736)	(-0.761)
People & Governance	0.007**	0.008***	0.010***	0.006**	0.008***	-0.003
	(2.552)	(2.878)	(3.337)	(2.255)	(3.367)	(-0.404)
Achievement & Confidence	0.014*	0.014*	0.012	0.016*	0.010	0.014
	(1.778)	(1.657)	(1.266)	(1.750)	(1.225)	(0.703)
Customer & Competition	-0.018**	-0.019**	-0.017**	-0.019**	-0.015**	-0.031*
	(-2.562)	(-2.523)	(-2.112)	(-2.383)	(-2.243)	(-1.802)
Environment & Sustainability	0.002	0.007	0.006	0.004	0.002	0.057*
	(0.183)	(0.594)	(0.438)	(0.294)	(0.230)	(1.900)
Financial Perform. & Earnings	0.004*	0.006**	0.006**	0.007**	0.005**	0.016***
	(1.700)	(2.283)	(2.208)	(2.569)	(1.966)	(2.622)
External & Macro Shocks	-0.007	-0.015	-0.015	-0.019*	-0.007	-0.044*
	(-0.667)	(-1.369)	(-1.378)	(-1.736)	(-0.776)	(-1.785)
Industry Context	-0.002	-0.003	-0.004	-0.004	-0.002	-0.010
	(-0.515)	(-0.755)	(-0.980)	(-0.907)	(-0.594)	(-1.086)
Legal & Regulatory	0.018*	0.027**	0.020	0.037***	0.021*	-0.014
	(1.649)	(2.213)	(1.582)	(2.988)	(1.958)	(-0.471)
Controls	YES	YES	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES	YES	YES
Observations	131169	131169	131169	131169	131169	130969
R-squared	0.103	0.107	0.110	0.112	0.103	0.279

Panel B: Crash Risk for the Next Period	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
Risk & Uncertainty	-0.411**	-0.150	-0.302	-0.513**
	(-1.972)	(-0.747)	(-1.505)	(-2.561)
Strategy & Growth	0.054	0.091	0.117	0.111
	(0.610)	(1.077)	(1.347)	(1.295)
Operations & Supply Chain	0.033	0.089	0.109	0.138
	(0.325)	(0.884)	(1.060)	(1.292)
Corp. Actions & Cap. Struct	0.226***	0.277***	0.177***	0.228***
	(3.201)	(4.087)	(2.579)	(3.259)
People & Governance	0.099***	-0.003	-0.005	-0.015
	(2.641)	(-0.076)	(-0.175)	(-0.495)
Achievement & Confidence	-0.174	-0.159	0.024	0.067
	(-1.463)	(-1.375)	(0.195)	(0.543)
Customer & Competition	0.064	0.158	0.006	-0.105
	(0.601)	(1.544)	(0.058)	(-1.015)
Environment & Sustainability	0.130	0.255	0.194	0.516***
	(0.752)	(1.459)	(1.079)	(2.707)
Financial Perform. & Earnings	-0.046	-0.063*	-0.015	-0.043
	(-1.248)	(-1.824)	(-0.409)	(-1.159)
External & Macro Shocks	0.069	-0.013	0.124	0.059
	(0.486)	(-0.103)	(0.913)	(0.418)
Industry Context	0.071	0.054	-0.017	-0.027
	(1.419)	(1.111)	(-0.358)	(-0.544)
Legal & Regulatory	0.194	-0.001	0.082	0.275
	(1.200)	(-0.005)	(0.488)	(1.571)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	128432	127765	126734	124863
R-squared	0.074	0.113	0.174	0.285

Panel C: Long-Run Returns for the Next Period	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
Risk & Uncertainty	0.005**	0.005***	0.003***	0.002***
	(2.366)	(3.284)	(3.191)	(3.434)
Strategy & Growth	-0.000	0.000	0.000	0.000
	(-0.092)	(0.279)	(1.107)	(0.452)
Operations & Supply Chain	-0.002*	-0.001	-0.001	-0.001***
	(-1.692)	(-1.560)	(-1.069)	(-3.398)
Corp. Actions & Cap. Struct	-0.002***	-0.002***	-0.001***	-0.001***
	(-2.867)	(-3.557)	(-3.433)	(-2.727)
People & Governance	-0.002***	-0.000	-0.000	-0.000***
	(-5.500)	(-0.793)	(-1.227)	(-2.795)
Achievement & Confidence	0.002	-0.000	-0.000	-0.000
	(1.428)	(-0.013)	(-0.671)	(-1.315)
Customer & Competition	-0.000	-0.001*	-0.001**	-0.000*
	(-0.181)	(-1.713)	(-2.391)	(-1.722)
Environment & Sustainability	0.001	0.003**	0.002***	0.001
	(0.268)	(2.198)	(2.906)	(1.533)
Financial Perform. & Earnings	0.000	0.000	0.000**	0.000**
	(1.275)	(0.694)	(2.456)	(2.280)
External & Macro Shocks	-0.002	0.002**	-0.000	0.000

Panel C: Long-Run Returns for the Next Period (continued)	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
	(-1.321)	(1.962)	(-0.429)	(1.107)
Industry Context	-0.001	-0.001	-0.000	-0.000
	(-1.397)	(-1.418)	(-0.078)	(-0.957)
Legal & Regulatory	-0.003*	0.001	0.000	0.000
	(-1.923)	(0.582)	(0.204)	(0.094)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	129789	129116	128070	126165
R-squared	0.091	0.143	0.242	0.456

Panel D: Filing of 8-K Bad News	(1) $Bad\ News_{90d}$	(2) $Bad\ News_{180d}$	(3) $Bad\ News_{365d}$	(4) $Bad\ News_{730d}$
Risk & Uncertainty	0.271	0.270	0.252*	0.113
	(1.278)	(1.511)	(1.806)	(1.026)
Strategy & Growth	0.287***	0.220***	0.163***	0.129**
	(3.014)	(3.100)	(2.653)	(2.368)
Operations & Supply Chain	0.033	0.078	0.215***	0.225***
	(0.320)	(0.848)	(2.805)	(3.101)
Corp. Actions & Cap. Struct	0.595***	0.517***	0.288***	0.168***
	(6.987)	(7.334)	(5.347)	(3.708)
People & Governance	0.164***	0.062*	0.086***	0.046***
	(3.177)	(1.848)	(4.380)	(2.835)
Achievement & Confidence	0.096	-0.038	-0.096	-0.121
	(0.766)	(-0.374)	(-1.025)	(-1.533)
Customer & Competition	-0.093	0.066	0.046	0.049
	(-0.795)	(0.716)	(0.627)	(0.747)
Environment & Sustainability	0.082	0.052	0.195	0.262**
	(0.349)	(0.252)	(1.322)	(2.013)
Financial Perform. & Earnings	0.044	-0.027	-0.035	-0.026
	(1.161)	(-0.936)	(-1.226)	(-1.090)
External & Macro Shocks	-0.216	-0.055	0.020	0.019
	(-1.223)	(-0.426)	(0.179)	(0.210)
Industry Context	-0.034	-0.015	-0.010	0.025
	(-0.645)	(-0.381)	(-0.327)	(0.914)
Legal & Regulatory	0.048	-0.060	-0.068	-0.137
	(0.267)	(-0.426)	(-0.640)	(-1.519)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	130295	130500	130573	130579
Pseudo R-squared	0.072	0.094	0.131	0.192

Table 11: Category-Level Attention Reallocation and Market Outcomes (Pos vs Neg)

This table decomposes category-level managerial attention reallocation into positive and negative shifts to examine whether the relation between attention reallocation and stock market outcomes is driven by increasing or decreasing attention to particular categories. A positive shift reflects an increase in a category's share of call content relative to the prior quarter, while a negative shift reflects a decrease. Panel A reports announcement returns over five event windows. Panel B reports firm-specific returns over four forward horizons. All specifications include the full set of control variables defined in Table A1, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$
Risk & Uncertainty$^+$	-0.287***	-0.301***	-0.304***	-0.332***	-0.285***
	(-13.711)	(-13.699)	(-13.307)	(-14.712)	(-14.014)
Risk & Uncertainty$^-$	0.076***	0.084***	0.085***	0.072***	0.085***
	(3.981)	(4.034)	(3.830)	(3.325)	(4.705)
Strategy & Growth$^+$	-0.094***	-0.098***	-0.101***	-0.095***	-0.090***
	(-10.728)	(-10.490)	(-10.503)	(-9.895)	(-10.699)
Strategy & Growth$^-$	-0.003	-0.002	-0.002	-0.001	-0.001
	(-0.397)	(-0.261)	(-0.198)	(-0.151)	(-0.139)
Operations & Supply Chain$^+$	-0.111***	-0.115***	-0.118***	-0.112***	-0.102***
	(-10.708)	(-10.326)	(-9.976)	(-9.830)	(-10.327)
Operations & Supply Chain$^-$	0.019*	0.019*	0.017	0.016	0.021**
	(1.793)	(1.742)	(1.471)	(1.416)	(2.144)
Corp. Actions & Cap. Struct$^+$	0.065***	0.064***	0.066***	0.070***	0.056***
	(8.597)	(8.028)	(7.944)	(8.482)	(7.758)
Corp. Actions & Cap. Struct$^-$	-0.010	-0.012	-0.012	-0.012	-0.009
	(-1.409)	(-1.632)	(-1.546)	(-1.550)	(-1.356)
People & Governance$^+$	0.006	0.008	0.009*	0.008	0.007
	(1.285)	(1.427)	(1.646)	(1.424)	(1.469)
Controls	YES	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES	YES
Observations	131169	131169	131169	131169	131169
R-squared	0.108	0.111	0.114	0.116	0.108

Panel B: Long-Run Returns for the Next Period

	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
Risk & Uncertainty$^+$	0.006**	0.006***	0.005***	0.003***
	(2.075)	(3.339)	(4.590)	(4.848)
Risk & Uncertainty$^-$	0.004	0.004**	0.001	0.001
	(1.548)	(2.004)	(1.077)	(1.297)
Strategy & Growth$^+$	-0.001	0.000	0.001	0.000
	(-0.525)	(0.573)	(1.522)	(0.958)
Strategy & Growth$^-$	0.000	-0.000	0.000	-0.000

Panel B: Long-Run Returns for the Next Period (continued)	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
	(0.380)	(-0.072)	(0.159)	(-0.310)
Operations & Supply Chain^{+}	-0.002	-0.000	0.000	-0.001***
	(-1.228)	(-0.372)	(0.587)	(-2.766)
Operations & Supply Chain^{-}	-0.002	-0.002**	-0.001**	-0.001***
	(-1.261)	(-2.235)	(-2.432)	(-3.318)
Corp. Actions & Cap. Struct^{+}	-0.002**	-0.002***	-0.001***	-0.001***
	(-2.308)	(-3.352)	(-3.773)	(-2.946)
Corp. Actions & Cap. Struct^{-}	-0.002	-0.001**	-0.001*	-0.000*
	(-1.516)	(-1.990)	(-1.679)	(-1.705)
People & Governance^{+}	-0.003***	-0.001***	-0.000	-0.000**
	(-4.145)	(-3.098)	(-1.437)	(-2.410)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	129789	129116	128070	126165
R-squared	0.091	0.143	0.242	0.456

Table 12: Investor Sophistication and Attention Reallocation

This table examines whether investor sophistication moderates the relation between managerial attention reallocation and announcement returns. The key variable is the interaction between *Attn Realloc*^{1Q} and institutional ownership. The dependent variable in columns (1) through (5) is the cumulative abnormal return over the indicated window around the earnings call, computed using a market model estimated over trading days -255 to -46. Institutional ownership measures the percentage of shares held by institutional investors. The interaction term is negative and significant across all announcement windows, showing that the market reacts more strongly to managerial attention shifts when institutional ownership is high. All specifications include the full set of control variables used in the baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$
$Attn\ Realloc_t^{1Q}$	0.002	0.001	0.002	0.002	0.002
	(0.493)	(0.264)	(0.524)	(0.617)	(0.609)
$Inst.\ Ownership_{t-1}$	-0.017***	-0.020***	-0.020***	-0.022***	-0.015***
	(-2.940)	(-3.203)	(-3.013)	(-3.280)	(-2.706)
$Attn\ Realloc_t^{1Q} \times Inst.\ Ownership_{t-1}$	-0.009**	-0.008*	-0.010**	-0.010**	-0.008**
	(-2.071)	(-1.757)	(-2.074)	(-2.123)	(-2.120)
Controls	YES	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES	YES
Observations	128762	128761	128761	128761	128762
R-squared	0.091	0.096	0.101	0.101	0.091

Internet Appendix Figures and Tables

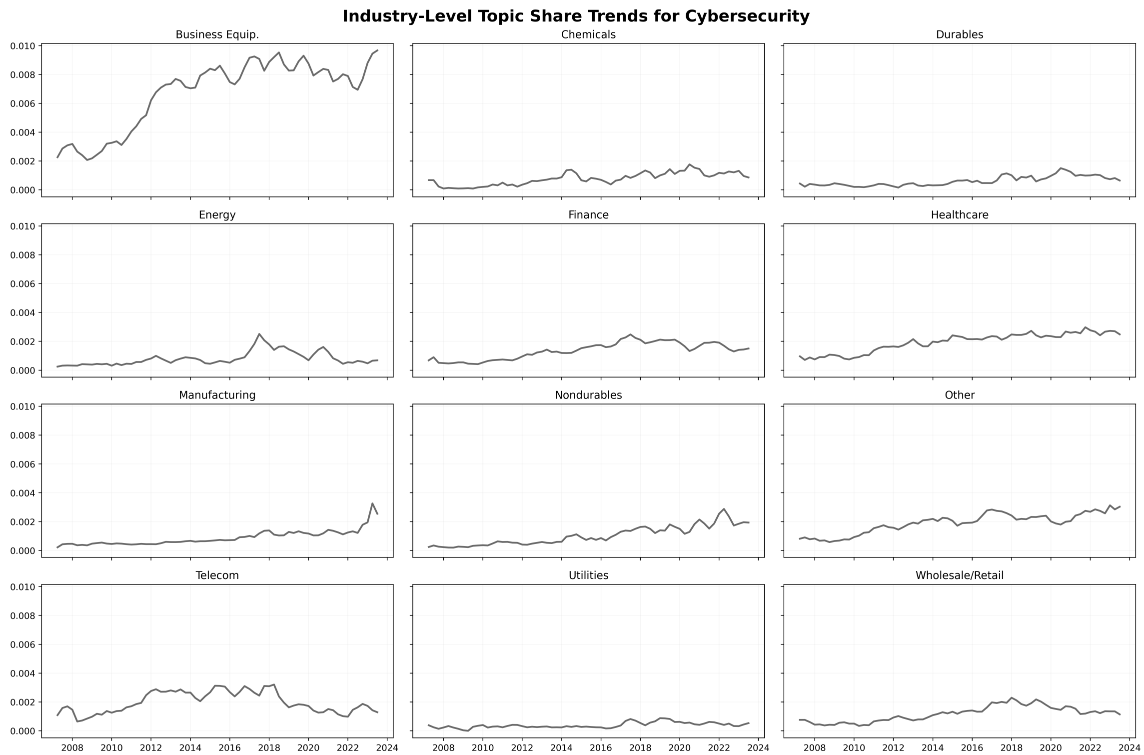

Figure A1. This figure plots the quarterly mean share of the cybersecurity topic across the Fama–French 12 industries.

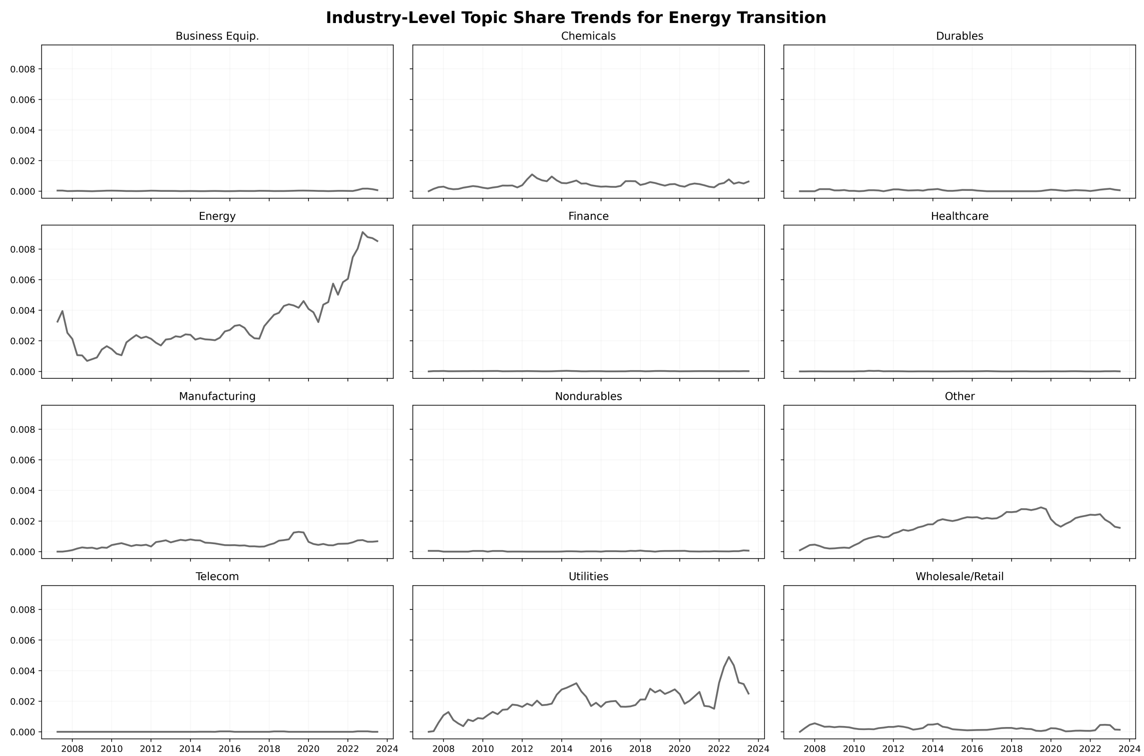

Figure A2. This figure plots the quarterly mean share of the energy-transition topic across the Fama–French 12 industries.

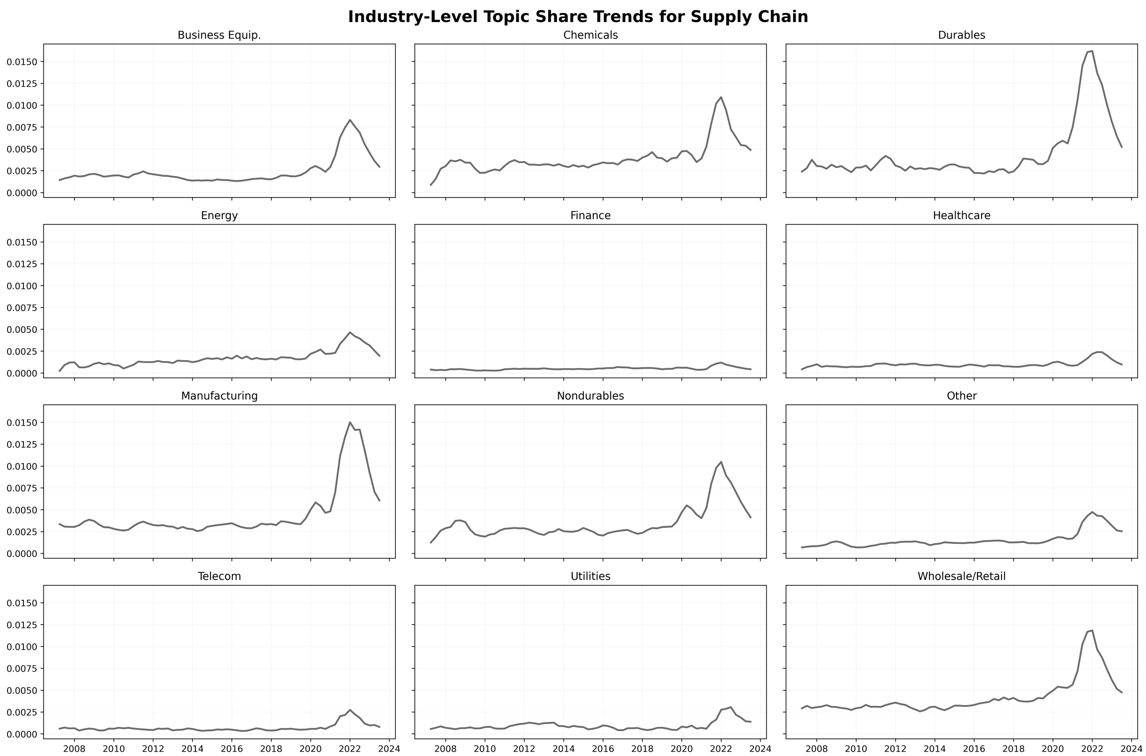

Figure A3. This figure plots the quarterly mean share of the supply-chain topic across the Fama–French 12 industries

Appendix A1.: Variable Descriptions

Variable Name	Definition	Source
Panel A: Attention Reallocation Measures		
Attn Realloc$_t^{1Q}$	L1 deviation of the current quarter's topic share distribution from the prior quarter's distribution, defined as $S_{i,t}^{1Q} = \sum_{k=1}^{K} \lvert A_{i,t,k} - A_{i,t-1,k} \rvert$, where $A_{i,t,k}$ is the share of attention allocated to topic k in quarter t. Higher values indicate greater reallocation of managerial attention relative to the preceding quarter. Winsorized at the 1st and 99th percentiles.	CapitalIQ
Attn Realloc$_t^{4Q}$	L1 deviation of the current quarter's topic share distribution from the rolling four-quarter average baseline, defined as $S_{i,t}^{4Q} = \sum_{k=1}^{K} \left\lvert A_{i,t,k} - \frac{1}{4} \sum_{s=t-4}^{t-1} A_{i,s,k} \right\rvert$. Captures deviation from a longer-run managerial communication baseline. Used as a robustness measure. Winsorized at the 1st and 99th percentiles.	CapitalIQ
Panel B: Abnormal Returns		
CAR$(-1,+1)$	Cumulative abnormal return over the three-day window centered on the earnings call date, computed using the market model estimated over the (-255, -46) trading day window preceding the call, following MacKinlay (1997). Abnormal returns are the difference between realized returns and expected returns from the market model using CRSP value-weighted returns. Winsorized at the 1st and 99th percentiles.	CRSP
CAR$(-1,+2)$	Cumulative abnormal return over the four-day window from trading day -1 to +2 relative to the earnings call date. Constructed identically to CAR$(-1,+1)$.	CRSP
CAR$(-1,+3)$	Cumulative abnormal return over the five-day window from trading day -1 to +3 relative to the earnings call date. Constructed identically to CAR$(-1,+1)$.	CRSP
CAR$(0,+1)$	Cumulative abnormal return over the two-day window from trading day 0 to +1 relative to the earnings call date. Constructed identically to CAR$(-1,+1)$.	CRSP
CAR$(-2,+2)$	Cumulative abnormal return over the five-day symmetric window from trading day -2 to +2 relative to the earnings call date. Constructed identically to CAR$(-1,+1)$.	CRSP
PEAD$_t$	Post-earnings announcement drift, measured as the cumulative abnormal return over trading days +2 to +60 following the earnings call date, following Bernard and Thomas (1989). Constructed using the same market model as the CAR measures.	CRSP

Continued on next page

Variable Name	Definition	Source
Panel C: Crash Risk		
NCSKEW$_{t+1Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 13-week window following the earnings call quarter, following Chen, Hong, and Stein (2001). Firm-specific weekly returns are computed as the residuals from a market and industry-adjusted return model. Higher values indicate greater left-tail risk.	CRSP
NCSKEW$_{t+2Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 26-week window following the earnings call quarter. Constructed identically to NCSKEW$_{t+1Q}$.	CRSP
NCSKEW$_{t+4Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 52-week window following the earnings call quarter. Constructed identically to NCSKEW$_{t+1Q}$.	CRSP
NCSKEW$_{t+8Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 104-week window following the earnings call quarter. Constructed identically to NCSKEW$_{t+1Q}$.	CRSP
W$_{t+1Q}$	Mean firm-specific weekly return over the 13-week window following the earnings call quarter, following Chen, Hong, and Stein (2001). Captures long-run return performance beyond the immediate announcement window.	CRSP
W$_{t+2Q}$	Mean firm-specific weekly return over the 26-week window following the earnings call quarter. Constructed identically to W$_{t+1Q}$.	CRSP
W$_{t+4Q}$	Mean firm-specific weekly return over the 52-week window following the earnings call quarter. Constructed identically to W$_{t+1Q}$.	CRSP
W$_{t+8Q}$	Mean firm-specific weekly return over the 104-week window following the earnings call quarter. Constructed identically to W$_{t+1Q}$.	CRSP
Panel D: Options Market		
Abn PCIV$_t$	Abnormal pre-call implied volatility, measured as the average implied volatility of at-the-money call options (delta = 0.50, 30-day maturity) over trading days -5 to -1 relative to the earnings call, minus the firm's historical average implied volatility over trading days -65 to -6. Captures whether options market uncertainty is abnormally elevated ahead of the call relative to the firm's own baseline.	OptionMetrics

Continued on next page

Variable Name	Definition	Source
IV JUMP$_t$	Implied volatility jump, measured as the implied volatility of at-the-money call options (delta = 0.50, 30-day maturity) on trading day +1 minus the implied volatility on trading day -1 relative to the earnings call date. Captures the change in options-implied uncertainty caused by the call itself.	OptionMetrics
IV JUMP$_{t+1}$	Implied volatility jump for the subsequent quarter's earnings call, constructed identically to IV JUMP$_t$. Used to test whether the effect on options market uncertainty persists beyond the current quarter.	OptionMetrics
Panel E: Analyst Behavior		
Rev Intensity$_t$	Revision intensity, measured as the number of non-zero earnings forecast revisions issued by analysts covering the firm in the 10 trading days following the earnings call, scaled by the number of analysts active in that window. Captures how actively analysts update their forecasts in response to the call.	IBES
Boldness$_t$	Mean forecast boldness, defined as an indicator equal to one if the analyst's absolute revision magnitude exceeds the median absolute revision among all analysts covering the same firm in the same 10-day post-call window, averaged across all analysts, following Clement and Tse (2005). Higher values indicate analysts are more willing to deviate from consensus.	IBES
Dispersion$_t$	Forecast dispersion, measured as the cross-sectional standard deviation of individual analyst EPS forecasts in the 10 trading days following the earnings call.	IBES
Forecast Error$_t$	Standard deviation of individual analyst forecast errors in the 10-day post-call window, where forecast error is defined as actual EPS minus the analyst's forecast, winsorized at the 1st and 99th percentiles.	IBES
Disagreement$_t$	Mean analyst disagreement, measured as the average absolute deviation of each analyst's winsorized EPS forecast from the prevailing consensus mean in the 10 trading days following the earnings call.	IBES
Cons Revision$_t$	Consensus forecast revision, measured as the change in the mean analyst EPS forecast from the most recent consensus snapshot before the call to the last consensus snapshot in the 10-day post-call window, from the IBES summary file.	IBES

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Variable Name	Definition	Source
Cons Dispersion$_t$	Consensus forecast dispersion, measured as the standard deviation of analyst EPS forecasts from the IBES summary file scaled by the absolute stock price in the month prior to the earnings announcement, following Diether, Malloy, and Scherbina (2002). Winsorized at the 1st and 99th percentiles.	IBES / CRSP
Panel F: Mandatory Disclosures (8-K)		
Bad News 8K$_{t+90d}$	Total count of bad-news 8-K filings by the firm in the 90 days following the earnings call. Bad-news items are defined as SEC Form 8-K disclosures under items 1.02 (contract terminations), 1.03 (bankruptcy), 2.04 (debt triggers), 2.05 (exit costs), 2.06 (asset impairments), 3.01 (delisting notices), 4.01 (auditor changes), 4.02 (non-reliance on prior financials), 5.02 (officer and director departures), and 5.04 (benefit plan suspensions).	SEC EDGAR
Bad News 8K$_{t+180d}$	Total count of bad-news 8-K filings in the 180 days following the earnings call. Constructed identically to Bad News 8K$_{t+90d}$.	SEC EDGAR
Bad News 8K$_{t+1Y}$	Total count of bad-news 8-K filings in the 365 days following the earnings call. Constructed identically to Bad News 8K$_{t+90d}$.	SEC EDGAR
Bad News 8K$_{t+2Y}$	Total count of bad-news 8-K filings in the 730 days following the earnings call. Constructed identically to Bad News 8K$_{t+90d}$.	SEC EDGAR
Departures$_{t+1Y}$	Count of officer and director departure disclosures (SEC Form 8-K Item 5.02) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Terminations$_{t+1Y}$	Count of material contract termination disclosures (SEC Form 8-K Item 1.02) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Impairments$_{t+1Y}$	Count of asset impairment and write-down disclosures (SEC Form 8-K Item 2.06) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Non Reliance$_{t+1Y}$	Count of non-reliance on previously issued financial statement disclosures (SEC Form 8-K Item 4.02) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Delisting$_{t+1Y}$	Count of delisting or transfer of listing disclosures (SEC Form 8-K Item 3.01) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Panel G: Adverse ES Incidents		
ES Incidents$_{t+3M}$	Count of adverse environmental and social incidents recorded by RepRisk for the firm in the three months following the earnings call. Restricted to incidents classified as medium or high severity.	RepRisk

Continued on next page

Variable Name	Definition	Source
ES Incidents$_{t+6M}$	Count of adverse ES incidents in the six months following the earnings call. Constructed identically to ES Incidents$_{t+3M}$.	RepRisk
ES Incidents$_{t+1Y}$	Count of adverse ES incidents in the 12 months following the earnings call. Constructed identically to ES Incidents$_{t+3M}$.	RepRisk
Severity$_{t+3M}$	Average severity score of adverse ES incidents recorded by RepRisk in the three months following the earnings call, based on the RepRisk proprietary severity classification. Zero if no incidents are recorded.	RepRisk
Severity$_{t+6M}$	Average severity score of adverse ES incidents in the six months following the earnings call. Constructed identically to Severity$_{t+3M}$.	RepRisk
Severity$_{t+1Y}$	Average severity score of adverse ES incidents in the 12 months following the earnings call. Constructed identically to Severity$_{t+3M}$.	RepRisk
Reach$_{t+3M}$	Average reach score of adverse ES incidents recorded by RepRisk in the three months following the earnings call, capturing the geographic and stakeholder breadth of each incident. Zero if no incidents are recorded.	RepRisk
Reach$_{t+6M}$	Average reach score of adverse ES incidents in the six months following the earnings call. Constructed identically to Reach$_{t+3M}$.	RepRisk
Reach$_{t+1Y}$	Average reach score of adverse ES incidents in the 12 months following the earnings call. Constructed identically to Reach$_{t+3M}$.	RepRisk
ES Incidents$_{t-1}$	Indicator equal to one if the firm had at least one adverse ES incident recorded by RepRisk in the six months preceding the earnings call. Used as a control variable to account for firms with pre-existing incident exposure.	RepRisk
Panel H: Operational Performance		
ROA$_{t+1Q}$	Return on assets in the quarter following the earnings call, measured as operating income before depreciation scaled by total assets.	Compustat
ROA$_{t+2Q}$	Return on assets in the second quarter following the earnings call. Constructed identically to ROA$_{t+1Q}$.	Compustat
Tobin's Q$_{t+1Q}$	Tobin's Q in the quarter following the earnings call, measured as the market value of equity plus the book value of total debt, divided by total assets.	Compustat & CRSP
Tobin's Q$_{t+2Q}$	Tobin's Q in the second quarter following the earnings call. Constructed identically to Tobin's Q$_{t+1Q}$.	Compustat / CRSP

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Variable Name	Definition	Source
<u>Panel I: Control Variables</u>		
Firm Size$_{t-1}$	Natural logarithm of market capitalization, measured as the product of shares outstanding and stock price at the end of the quarter preceding the earnings call.	CRSP
Return$_{t-1}$	Cumulative stock return over the 12 months preceding the earnings call, used to control for prior momentum.	CRSP
BEME$_{t-1}$	Book-to-market equity ratio, measured as the ratio of book value of equity to market value of equity at the end of the quarter preceding the earnings call. Book equity is shareholders' equity plus deferred taxes and investment tax credits, minus preferred stock, following Fama and French (1992).	Compustat / CRSP
Investment$_{t-1}$	Capital expenditure scaled by total assets (CAPX/AT) at the end of the quarter preceding the earnings call.	Compustat
Leverage$_{t-1}$	Book value of total debt divided by the market value of equity at the end of the quarter preceding the earnings call.	Compustat / CRSP
Tobin's Q$_{t-1}$	Tobin's Q at the end of the quarter preceding the earnings call, measured as the market value of equity plus book value of total debt, divided by total assets.	Compustat / CRSP
R&D$_{t-1}$	Research and development expenditure scaled by total assets at the end of the quarter preceding the earnings call. Set to zero when missing.	Compustat
Dummy R&D Missing$_{t-1}$	Indicator equal to one if research and development expenditure is missing in Compustat for the quarter preceding the earnings call.	Compustat
Complexity$_{t-1}$	Firm complexity index from Loughran and McDonald (2024), downloaded from the authors' website. Higher values indicate greater firm complexity.	Loughran and McDonald (2024)
Inst Own$_{t-1}$	Percentage of shares held by institutional investors at the end of the quarter preceding the earnings call, obtained from SEC 13-F filings.	Thomson Reuters 13-F
Segment HHI$_{t-1}$	Herfindahl-Hirschman Index of the firm's sales distribution across business segments at the end of the fiscal year preceding the earnings call, constructed as HHI $= \sum_s \left(\frac{\text{Sales}_s}{\text{Total Sales}}\right)^2$. Lower values indicate greater business diversification.	Compustat Segment
RVOL$^{pre}_{t-1}$	Realized return volatility, measured as the standard deviation of daily stock returns over the 30 trading days preceding the earnings call, following Beaver (1968).	CRSP

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Variable Name	Definition	Source
$\text{Amihud}^{pre}_{t-1}$	Pre-call market illiquidity, measured as the average ratio of the absolute daily return to daily dollar trading volume over the 30 trading days preceding the earnings call, following Amihud (2002).	CRSP
SUE_{t-1}	Standardized unexpected earnings from the most recent earnings announcement preceding the call, measured as actual EPS minus consensus analyst forecast scaled by the standard deviation of analyst forecasts, following Livnat and Mendenhall (2006).	IBES
DTURN_{t-1}	Detrended share turnover, measured as the average monthly share turnover over the six months preceding the earnings call minus the average monthly share turnover over the six months before that, following Chen, Hong, and Stein (2001).	CRSP
ACCM_{t-1}	Accruals-based opacity, measured as the three-year moving sum of the absolute value of annual discretionary accruals, following Hutton, Marcus, and Tehranian (2009). Discretionary accruals are estimated using the modified Jones (1991) model.	Compustat
NCSKEW_{t-1}	Negative coefficient of skewness of firm-specific weekly returns over the 52 weeks preceding the earnings call. Constructed identically to NCSKEW_{t+1Q}. Included as a control for prior crash risk.	CRSP
σ_{t-1}	Standard deviation of firm-specific weekly returns over the 52 weeks preceding the earnings call, used as a control for prior return volatility in crash risk regressions.	CRSP
$\overline{\text{W}}_{t-1}$	Mean firm-specific weekly return over the 52 weeks preceding the earnings call, used as a control for prior return performance in crash risk regressions, following Chen, Hong, and Stein (2001).	CRSP

Appendix Table B1: Robustness of Announcement Return Results

This table reports robustness checks for the announcement return regressions. In Panel A, the main specification is augmented with controls for Loughran and McDonald (2011) negative and positive tone (*LM Negative*, *LM Positive*) and cosine similarity with the prior quarter transcript ($Cosine\ Similarity_{t-1}$). In Panel B, the main measure is replaced with $Attn\ Realloc^{4Q}$, which uses the trailing four-quarter average as the benchmark. In Panel C, the main measure is replaced with the industry-adjusted attention reallocation score, constructed by regressing each topic share on its own lags with industry-by-year-quarter fixed effects and computing the score from the residuals. All specifications include the full set of firm-level controls as in Table 3. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$	(6) $PEAD_t$
Panel A: Controlling for Tone and Document Similarity						
$Attn\ Realloc_t^{1Q}$	−0.004***	−0.004***	−0.004***	−0.004***	−0.003***	−0.005**
	(−3.498)	(−3.248)	(−3.195)	(−3.160)	(−3.130)	(−2.359)
$Cosine\ Similarity_{t-1}$	−0.000	0.000	0.001	0.001	−0.001	0.002
	(−0.200)	(0.169)	(0.506)	(0.535)	(−0.329)	(0.544)
LM Negative	−2.272***	−2.315***	−2.278***	−2.401***	−2.169***	−0.195
	(−26.873)	(−25.670)	(−24.201)	(−25.665)	(−26.749)	(−1.104)
LM Positive	1.359***	1.419***	1.438***	1.456***	1.346***	0.181*
	(25.375)	(24.696)	(23.951)	(24.527)	(26.230)	(1.662)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	130,530	130,529	130,529	130,529	130,530	130,330
R-squared	0.101	0.105	0.108	0.110	0.101	0.279
Panel B: Alternative Measure (4-Quarter Rolling Baseline)						
$Attn\ Realloc_t^{4Q}$	−0.004***	−0.003**	−0.003**	−0.004***	−0.003***	−0.003
	(−3.145)	(−2.443)	(−2.248)	(−2.769)	(−3.066)	(−1.188)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	133,638	133,637	133,637	133,638	133,638	133,428
R-squared	0.085	0.090	0.095	0.095	0.085	0.278
Panel C: Industry-Adjusted Measure						
$Attn\ Realloc_t^{Ind}$	−0.004***	−0.004**	−0.004**	−0.004***	−0.003*	−0.003
	(−2.592)	(−2.452)	(−2.524)	(−2.637)	(−1.864)	(−0.946)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	131,173	131,172	131,172	131,172	131,173	130,972
R-squared	0.085	0.090	0.095	0.095	0.085	0.279

Appendix Table B1: Robustness of Announcement Return Results

This table reports robustness checks for the announcement return regressions. In Panel A, the main specification is augmented with controls for Loughran and McDonald (2011) negative and positive tone (*LM Negative*, *LM Positive*) and cosine similarity with the prior quarter transcript ($Cosine\ Similarity_{t-1}$). In Panel B, the main measure is replaced with $Attn\ Realloc^{4Q}$, which uses the trailing four-quarter average as the benchmark. In Panel C, the main measure is replaced with the industry-adjusted attention reallocation score, constructed by regressing each topic share on its own lags with industry-by-year-quarter fixed effects and computing the score from the residuals. All specifications include the full set of firm-level controls as in Table 3. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$	(6) $PEAD_t$
Panel A: Controlling for Tone and Document Similarity						
$Attn\ Realloc_t^{1Q}$	−0.004***	−0.004***	−0.004***	−0.004***	−0.003***	−0.005**
	(−3.498)	(−3.248)	(−3.195)	(−3.160)	(−3.130)	(−2.359)
$Cosine\ Similarity_{t-1}$	−0.000	0.000	0.001	0.001	−0.001	0.002
	(−0.200)	(0.169)	(0.506)	(0.535)	(−0.329)	(0.544)
LM Negative	−2.272***	−2.315***	−2.278***	−2.401***	−2.169***	−0.195
	(−26.873)	(−25.670)	(−24.201)	(−25.665)	(−26.749)	(−1.104)
LM Positive	1.359***	1.419***	1.438***	1.456***	1.346***	0.181*
	(25.375)	(24.696)	(23.951)	(24.527)	(26.230)	(1.662)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	130,530	130,529	130,529	130,529	130,530	130,330
R-squared	0.101	0.105	0.108	0.110	0.101	0.279
Panel B: Alternative Measure (4-Quarter Rolling Baseline)						
$Attn\ Realloc_t^{4Q}$	−0.004***	−0.003**	−0.003**	−0.004***	−0.003***	−0.003
	(−3.145)	(−2.443)	(−2.248)	(−2.769)	(−3.066)	(−1.188)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	133,638	133,637	133,637	133,638	133,638	133,428
R-squared	0.085	0.090	0.095	0.095	0.085	0.278
Panel C: Industry-Adjusted Measure						
$Attn\ Realloc_t^{Ind}$	−0.004***	−0.004**	−0.004**	−0.004***	−0.003*	−0.003
	(−2.592)	(−2.452)	(−2.524)	(−2.637)	(−1.864)	(−0.946)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	131,173	131,172	131,172	131,172	131,173	130,972
R-squared	0.085	0.090	0.095	0.095	0.085	0.279

Appendix Table B2: Robustness of Crash Risk and Long-Run Return Results

This table reports robustness checks for the crash risk and long-run return regressions. Within each panel, the first row controls for Loughran and McDonald (2011) tone and cosine similarity with the prior quarter transcript. The second row replaces the main measure with *Attn Realloc*^{4Q}, which uses the trailing four-quarter average as the benchmark. The third row replaces the main measure with the industry-adjusted attention reallocation score. All specifications include the full set of crash risk and firm-level controls as in Table 4. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)
Panel A: Crash Risk	$NCSKEW_{t+1Q}$	$NCSKEW_{t+2Q}$	$NCSKEW_{t+4Q}$	$NCSKEW_{t+8Q}$
Tone and Similarity Controls				
$Attn\ Realloc_t^{1Q}$	0.031**	0.028**	0.024*	0.021
	(2.135)	(2.094)	(1.777)	(1.612)
4-Quarter Rolling Baseline				
$Attn\ Realloc_t^{4Q}$	0.037**	0.046***	0.024	0.014
	(2.336)	(3.103)	(1.545)	(0.892)
Industry-Adjusted Measure				
$Attn\ Realloc_t^{Ind}$	0.036*	0.061***	0.029	0.025
	(1.704)	(3.089)	(1.501)	(1.275)
Controls	Yes	Yes	Yes	Yes
Crash Risk Controls	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes

Panel B: Long-Run Returns	$\overline{W}_{t+1Q}$	$\overline{W}_{t+2Q}$	$\overline{W}_{t+4Q}$	$\overline{W}_{t+8Q}$
Tone and Similarity Controls				
$Attn\ Realloc_t^{1Q}$	−0.063***	−0.025***	−0.010*	−0.013***
	(−5.042)	(−3.226)	(−1.889)	(−4.433)
4-Quarter Rolling Baseline				
$Attn\ Realloc_t^{4Q}$	−0.064***	−0.028***	−0.010*	−0.009***
	(−5.104)	(−3.559)	(−1.934)	(−3.062)
Industry-Adjusted Measure				
$Attn\ Realloc_t^{Ind}$	−0.053***	−0.033***	−0.013***	−0.009***
	(−4.258)	(−4.266)	(−2.626)	(−3.068)
Controls	Yes	Yes	Yes	Yes
Crash Risk Controls	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes

Appendix Table B3: Robustness of Analyst Behavior Results

This table reports robustness checks for the analyst behavior regressions. In Panel A, the main specification is augmented with controls for Loughran and McDonald (2011) negative and positive tone and cosine similarity with the prior quarter transcript. In Panel B, the main measure is replaced with *Attn Realloc*^{4Q}, which uses the trailing four-quarter average as the benchmark. In Panel C, the main measure is replaced with the industry-adjusted attention reallocation score. All specifications include the full set of firm-level controls as in Table 5. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)
	$Rev\ Intensity_t$	$Boldness_t$	$Dispersion_t$	$Disagreement_t$	SUE_{t+1}	$Cons\ Disp_{t+1}$
Panel A: Controlling for Tone and Document Similarity						
$Attn\ Realloc_t^{1Q}$	0.039***	−0.049***	0.019**	0.016***	−0.001*	0.001**
	(2.774)	(−7.979)	(2.262)	(2.755)	(−1.822)	(2.315)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	62,329	49,122	56,431	49,800	68,747	67,838
R-squared	0.478	0.078	0.478	0.487	0.189	0.625
Panel B: Alternative Measure (4-Quarter Rolling Baseline)						
$Attn\ Realloc_t^{4Q}$	0.154***	−0.146***	0.044***	0.017*	−0.001**	0.000
	(4.081)	(−12.546)	(3.983)	(1.909)	(−2.468)	(1.529)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	62,639	49,355	56,710	50,044	69,099	68,188
R-squared	0.480	0.077	0.476	0.481	0.187	0.625
Panel C: Industry-Adjusted Measure						
$Attn\ Realloc_t^{Ind}$	0.174***	−0.180***	0.025*	0.022**	−0.001**	0.001
	(4.008)	(−12.525)	(1.696)	(2.185)	(−2.035)	(1.445)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	62,639	49,355	56,710	50,044	69,099	68,188
R-squared	0.480	0.077	0.476	0.481	0.187	0.625

Appendix Table B4: Robustness of Mandatory Disclosure Results

This table reports robustness checks for the bad-news 8-K filing regressions. In Panel A, the main specification is augmented with controls for Loughran and McDonald (2011) negative and positive tone and cosine similarity with the prior quarter transcript. In Panel B, the main measure is replaced with *Attn Realloc*^{4Q}, which uses the trailing four-quarter average as the benchmark. In Panel C, the main measure is replaced with the industry-adjusted attention reallocation score. All regressions are estimated using Poisson pseudo-maximum likelihood (PPML) with high-dimensional fixed effects. All specifications include the full set of firm-level controls and lagged bad-news 8-K count as in Table 7. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) *Bad News* $8K_{t+90d}$	(2) *Bad News* $8K_{t+180d}$	(3) *Bad News* $8K_{t+1Y}$	(4) *Bad News* $8K_{t+2Y}$
Panel A: Controlling for Tone and Document Similarity				
Attn Realloc$_t^{1Q}$	0.127***	0.089***	0.069***	0.050***
	(6.079)	(6.275)	(6.918)	(5.795)
Lagged Bad News 8K	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes
Observations	126,656	129,867	129,938	129,944
Pseudo R-squared	0.072	0.094	0.130	0.191
Panel B: Alternative Measure (4-Quarter Rolling Baseline)				
Attn Realloc$_t^{4Q}$	0.147***	0.111***	0.068***	0.040***
	(5.460)	(5.765)	(4.830)	(3.341)
Lagged Bad News 8K	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes
Observations	129,587	132,969	133,051	133,058
Pseudo R-squared	0.073	0.094	0.131	0.191
Panel C: Industry-Adjusted Measure				
Attn Realloc$_t^{Ind}$	0.165***	0.113***	0.055***	0.031**
	(5.799)	(5.234)	(3.617)	(2.442)
Lagged Bad News 8K	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes
Year-Quarter FE	Yes	Yes	Yes	Yes
Observations	127,277	130,505	130,578	130,584
Pseudo R-squared	0.072	0.093	0.130	0.191

Table B5: Positive and Negative Attention Reallocation: Crash Risk and Bad-News F

This table decomposes category-level managerial attention reallocation into positive and negative shifts to examine whether changes in attention to particular categories are associated with subsequent crash risk and bad-news disclosures. A positive shift reflects an increase in a category's share of call content relative to the prior quarter, while a negative shift reflects a decrease. Panel A reports estimates for crash risk, measured as $NCSKEW$ over forward windows of 1, 2, 4, and 8 quarters following the call. Panel B reports Poisson pseudo-maximum-likelihood estimates for the count of bad-news 8-K filings within forward windows of 90 days, 180 days, 1 year, and 2 years following the call. All specifications include the full set of control variables used in the baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Crash Risk for the Next Period

	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
Risk & Uncertainty^{+}	-0.464*	0.003	-0.160	-0.454**
	(-1.728)	(0.013)	(-0.724)	(-2.146)
Risk & Uncertainty^{-}	-0.351	-0.282	-0.436**	-0.563***
	(-1.325)	(-1.187)	(-1.968)	(-2.604)
Strategy & Growth^{+}	0.040	0.029	0.052	0.073
	(0.319)	(0.270)	(0.506)	(0.762)
Strategy & Growth^{-}	0.068	0.140	0.175*	0.144
	(0.532)	(1.249)	(1.756)	(1.526)
Operations & Supply Chain^{+}	0.039	0.029	0.065	0.146
	(0.284)	(0.235)	(0.575)	(1.303)
Operations & Supply Chain^{-}	0.027	0.152	0.151	0.122
	(0.192)	(1.233)	(1.280)	(1.058)
Corp. Actions & Cap. Struct^{+}	0.247**	0.347***	0.234***	0.271***
	(2.373)	(3.856)	(2.850)	(3.401)
Corp. Actions & Cap. Struct^{-}	0.203*	0.203**	0.119	0.186**
	(1.929)	(2.271)	(1.461)	(2.397)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	128432	127765	126734	124863
R-squared	0.074	0.113	0.174	0.285

Panel B: Filing of 8-K Bad News

	(1) $Bad\ News_{90d}$	(2) $Bad\ News_{180d}$	(3) $Bad\ News_{365d}$	(4) $Bad\ News_{730d}$
Risk & Uncertainty^{+}	0.455	0.168	0.313*	0.143
	(1.543)	(0.699)	(1.876)	(1.151)
Risk & Uncertainty^{-}	0.064	0.348*	0.171	0.066
	(0.262)	(1.689)	(1.161)	(0.602)
Strategy & Growth^{+}	0.435***	0.325***	0.234***	0.216***
	(2.969)	(3.478)	(3.105)	(3.610)
Strategy & Growth^{-}	0.130	0.111	0.090	0.044

Panel B: Filing of 8-K Bad News (continued)	(1) $Bad\ News_{90d}$	(2) $Bad\ News_{180d}$	(3) $Bad\ News_{365d}$	(4) $Bad\ News_{730d}$
	(0.981)	(1.126)	(1.136)	(0.680)
Operations & Supply Chain^{+}	0.058	-0.019	0.222***	0.241***
	(0.442)	(-0.190)	(2.644)	(3.136)
Operations & Supply Chain^{-}	0.020	0.182*	0.207***	0.209***
	(0.132)	(1.680)	(2.591)	(2.846)
Corp. Actions & Cap. Struct^{+}	0.707***	0.590***	0.342***	0.193***
	(5.864)	(7.019)	(5.473)	(3.701)
Corp. Actions & Cap. Struct^{-}	0.479***	0.424***	0.224***	0.141***
	(3.887)	(4.802)	(3.274)	(2.897)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	130295	130500	130573	130579
Pseudo R-squared	0.072	0.094	0.131	0.192

Appendix Table B6 : Firm Characteristics and Attention Reallocation

This table examines which firm characteristics are associated with managerial attention reallocation. The dependent variable in column (1), *Attn Realloc*^{1Q}, measures the shift in the distribution of managerial attention across topics relative to the prior quarter. The dependent variable in column (2), *Attn Realloc*^{4Q}, measures the shift in the distribution of managerial attention relative to the average distribution over the prior four quarters. All firm characteristics are lagged and defined in Table A1. Both specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $Attn\ Realloc_t^{1Q}$	(2) $Attn\ Realloc_t^{4Q}$
$Firm\ Size_{t-1}$	0.028***	0.014***
	(7.964)	(4.375)
$Past\ Return_{t-1}$	-0.014***	-0.011***
	(-4.674)	(-4.497)
SUE_{t-1}	-0.001***	-0.001***
	(-3.872)	(-3.100)
$Investment_{t-1}$	-0.154***	-0.122***
	(-2.961)	(-2.920)
ROA_{t-1}	-0.205***	-0.182***
	(-5.041)	(-5.149)
$Leverage_{t-1}$	0.030**	0.054***
	(2.286)	(4.838)
$Tobin's\ Q_{t-1}$	-0.005***	-0.007***
	(-3.091)	(-5.037)
$Book\text{-}to\text{-}Market_{t-1}$	0.003	0.004*
	(1.370)	(1.946)
$R\&D_{t-1}$	-0.302***	-0.247**
	(-2.928)	(-2.485)
$R\&D\ Missing_{t-1}$	0.002	0.002
	(0.289)	(0.305)
$Complexity_{t-1}$	0.021	0.005
	(1.460)	(0.428)
$Segment\ HHI_{t-1}$	0.038***	0.017
	(3.526)	(1.660)
$Inst\ Own_{t-1}$	0.003	-0.001
	(0.227)	(-0.063)
$RVOL_{t-1}^{pre}$	1.848***	1.558***
	(9.773)	(7.309)
$Amihud_{t-1}^{pre}$	-0.004	0.001
	(-0.966)	(0.144)
$Ln\ No.\ Topics_{t-1}$	-0.014	-0.097***
	(-0.913)	(-6.582)
Firm FE	YES	YES
Year-Quarter FE	YES	YES
Observations	128762	131148
R-squared	0.310	0.356

Appendix Table B7: Correlation Matrix

This table reports Pearson correlation coefficients among the main attention, textual, and firm-level variables used in the analysis. *Attn Realloc*^{1Q} measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. *Net Tone* measures the net textual tone of the earnings call. *Cosine Similarity* measures the similarity in the distribution of managerial attention relative to the prior quarter. *Ln No. Sentences* is the natural logarithm of the number of content sentences in the earnings call, and *Ln No. Topics* is the natural logarithm of the number of topics discussed during the call. Variable definitions are provided in Appendix Table A1.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
(1) $Attn\ Realloc_t^{1Q}$	1.000									
(2) *Net Tone*	-0.008	1.000								
(3) *Cosine Similarity*	-0.497	0.001	1.000							
(4) *Ln No. Sentences*	0.057	0.105	-0.049	1.000						
(5) *Ln No. Topics*	0.063	0.114	0.006	0.930	1.000					
(6) *Ln No. Analysts*	0.110	0.104	-0.131	0.153	0.140	1.000				
(7) *Firm Size*	0.197	0.137	-0.184	0.209	0.226	0.458	1.000			
(8) *SUE*	-0.010	0.054	-0.008	-0.003	-0.006	-0.003	-0.001	1.000		
(9) $RVOL^{pre}$	-0.027	-0.227	0.042	-0.057	-0.086	-0.121	-0.355	-0.057	1.000	
(10) $Amihud^{pre}$	-0.050	-0.067	0.063	-0.072	-0.068	-0.164	-0.231	-0.001	0.160	1.000

Appendix Table B8: Residualized Attention Reallocation and Main Outcomes

This table examines whether the main results are robust to removing variation in managerial attention reallocation associated with alternative textual characteristics of the earnings call. I first regress *Attn Realloc*^{1Q} on net tone, cosine similarity to the prior call, and the number of topics discussed during the call. *Residual Attn Realloc*^{1Q} is the residual from this regression and therefore captures variation in attention reallocation orthogonal to these characteristics. Panel A reports announcement returns over the indicated windows around the earnings call. Panel B reports crash risk, measured as $NCSKEW$ over forward windows of 1, 2, 4, and 8 quarters. Panel C reports mean firm-specific weekly returns over the same horizons. Panel D reports Poisson pseudo-maximum-likelihood estimates for the number of bad-news 8-K filings within 90 days, 180 days, 1 year, and 2 years following the call. All specifications include the full set of controls used in the corresponding baseline regressions, as well as firm fixed effects and time fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$
Residual Attn Realloc$_t^{1Q}$	-0.003***	-0.003**	-0.003**	-0.003**	-0.002**
	(-2.663)	(-2.418)	(-2.370)	(-2.379)	(-2.198)
Controls	YES	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES	YES
Observations	130530	130529	130529	130529	130530
R-squared	0.101	0.105	0.108	0.110	0.101

Panel B: Crash Risk for the Next Period

	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
Residual Attn Realloc$_t^{1Q}$	0.032**	0.034**	0.032**	0.030**
	(2.222)	(2.556)	(2.400)	(2.374)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	128434	127767	126736	124865
R-squared	0.073	0.112	0.173	0.284

Panel C: Long-Run Returns for the Next Period

	(1) $\overline{W}_{t+1Q}$	(2) $\overline{W}_{t+2Q}$	(3) $\overline{W}_{t+4Q}$	(4) $\overline{W}_{t+8Q}$
Residual Attn Realloc$_t^{1Q}$	-0.001***	-0.000***	-0.000*	-0.000***
	(-5.108)	(-3.654)	(-1.831)	(-4.334)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	128434	127767	126736	124865

Panel C: Long-Run Returns for the Next Period (continued)	(1) $\overline{W}_{t+1Q}$	(2) $\overline{W}_{t+2Q}$	(3) $\overline{W}_{t+4Q}$	(4) $\overline{W}_{t+8Q}$
R-squared	0.125	0.197	0.304	0.498

Panel D: Filing of 8-K Bad News	(1) $Bad\ News_{90d}$	(2) $Bad\ News_{180d}$	(3) $Bad\ News_{365d}$	(4) $Bad\ News_{730d}$
$Residual\ Attn\ Realloc_t^{1Q}$	0.112***	0.080***	0.059***	0.041***
	(6.155)	(5.911)	(6.046)	(4.971)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES
Observations	129659	129867	129938	129944
Pseudo R-squared	0.071	0.093	0.130	0.191

Appendix Table B9: Placebo Validation of Attention Reallocation

This table reports placebo tests of the attention reallocation measure. *Sequence Placebo* randomly permutes the order of transcripts within each firm and recomputes attention reallocation relative to the preceding transcript in the randomized sequence. This procedure preserves firm identity and transcript content but destroys the actual time-series sequence of managerial communication. *Random-Firm Placebo* randomly assigns transcripts to firms within the same quarter and recomputes attention reallocation relative to the preceding call. This procedure preserves quarter-level conditions but destroys firm identity and firm-specific time-series structure. Panel A reports announcement returns over the indicated windows around the earnings call. Panel B reports crash risk, measured as $NCSKEW$ over forward windows of 1, 2, 4, and 8 quarters. Panel C reports mean firm-specific weekly returns over the same horizons. Panel D reports Poisson pseudo-maximum-likelihood estimates for the number of bad-news 8-K filings within 90 days, 180 days, 1 year, and 2 years following the call. All specifications include the full set of controls used in the corresponding baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns

	(1) $CAR(-1,+1)$	(2) $CAR(-1,+2)$	(3) $CAR(-1,+3)$	(4) $CAR(-2,+2)$	(5) $CAR(0,+1)$
Sequence Placebo	0.000	0.000	0.000	0.000	0.000
	(0.216)	(0.205)	(0.341)	(0.286)	(0.425)
Random-Firm Placebo	-0.000	-0.001	-0.002	-0.000	-0.000
	(-0.097)	(-0.285)	(-0.679)	(-0.193)	(-0.255)
Controls	YES	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES	YES

Panel C: Long-Run Returns for the Next Period

	(1) $\overline{W}_{t+1Q}$	(2) $\overline{W}_{t+2Q}$	(3) $\overline{W}_{t+4Q}$	(4) $\overline{W}_{t+8Q}$
Sequence Placebo	0.000	0.000	0.000**	0.000
	(1.521)	(1.444)	(2.278)	(1.550)
Random-Firm Placebo	-0.000	-0.000	-0.000	-0.000
	(-1.330)	(-0.978)	(-1.434)	(-0.669)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES

Panel B: Crash Risk for the Next Period

	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
Sequence Placebo	-0.013	-0.012	-0.012	-0.009
	(-0.846)	(-0.830)	(-0.921)	(-0.794)
Random-Firm Placebo	0.037	0.012	0.021	0.008
	(1.286)	(0.472)	(0.974)	(0.415)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES

Panel D: Filing of 8-K Bad News

	(1) $Bad\ News_{90d}$	(2) $Bad\ News_{180d}$	(3) $Bad\ News_{365d}$	(4) $Bad\ News_{730d}$
Sequence Placebo	-0.009	-0.003	-0.004	0.003
	(-0.618)	(-0.251)	(-0.526)	(0.536)
Random-Firm Placebo	-0.044	0.005	0.001	-0.005
	(-1.345)	(0.226)	(0.081)	(-0.493)
Controls	YES	YES	YES	YES
Firm FE	YES	YES	YES	YES
Year-Quarter FE	YES	YES	YES	YES

Appendix C. Additional Materials

C1 Topic Classification Procedure

I classify the 1,074 non-boilerplate BERTopic topics into twelve economic content categories using a supervised large-language-model procedure. The classification is anchored on a set of category definitions developed from an initial manually labeled sample of 70 topics. These definitions include explicit boundary rules for categories that are prone to overlap. For example, *Risk Factors & Uncertainty* captures hedged, cautionary, or exposure-framed language ("could," "may," "uncertain," quantified risk metrics), regardless of subject matter, whereas *External & Macro Shocks* captures content describing macroeconomic or geopolitical conditions as the topic itself (FX movements, regional demand conditions, COVID disruption). Similarly, *Strategy, Growth & Innovation* contains forward-looking business-development intent (R&D, new products, market expansion, general "investing in the business"), *Operations & Supply Chain* contains production, logistics, and execution-layer content, and *Corporate Actions & Capital Structure* contains specific transactional or financing decisions (M&A, divestitures, buybacks, dividends, debt issuance, leverage tied to a named deal).

Each topic is presented to Claude Sonnet 5 with its top-weighted terms and representative example sentences. The model is prompted with the fixed category definitions, boundary rules, and worked examples from the manually labeled training set, and returns a category assignment, a confidence rating, and a one-sentence justification. Topics identified as conversational scaffolding (introductions, speaker transitions, meeting logistics) or as clustering artifacts driven by polysemous terms ("model," "term," "size") are flagged and excluded as boilerplate. These exclusions include the 193 boilerplate topics identified during initial topic review and an additional set identified through a second-stage subtype screen, yielding a final boilerplate list of 477 topics.

The classification is validated in three steps. First, a self-consistency check classifies an independent 30-topic sample twice under identical settings; the two passes agree on all topics. Second, the initial 70-topic training set is reclassified, and category definitions are refined where systematic disagreements arise (e.g., cash-flow topics are assigned to *Financial Performance & Earnings* unless the content specifies a particular use such as funding a buyback or paying down debt, in which case they are assigned to *Corporate Actions & Capital Structure*). Third, a blind validation sample of 150 topics, stratified to ensure coverage of smaller categories, is manually classified by three PhD students without access to the model's assignments; agreement between manual and automated classification is 98%.

The resulting twelve categories—*Financial Performance & Earnings*, *Risk Factors & Uncertainty*, *Legal, Regulatory & Tax*, *Corporate Actions & Capital Structure*, *Operations & Supply Chain*, *Strategy, Growth & Innovation*, *Customer & Competitive Positioning*, *External & Macro Shocks*, *People & Governance*, *ESG & Sustainability*, *Industry/Sector Context*, and *Confidence & Achievement Rhetoric*—provide the content decomposition used in the main analysis. Examples of topics assigned to each category are available upon request.